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From: The Acting Secretary

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DEMOCRATIC REPUBLIC OF THE CONGO

STAFF REPORT FOR THE 2015 ARTICLE IV CONSULTATION KEY ISSUES

August 17, 2015

Context. Despite DRC's abundant natural resources and its robust growth and overall strong macroeconomic performance of the past five years, fiscal space remains limited and poverty widespread. While key social indicators improved, DRC will likely not achieve any of the Millennium Development Goals (MDGs) by 2015. Implementation of past policy recommendations was broadly satisfactory, but progress on critical structural reforms has stalled. DRC remains a fragile country with vulnerabilities on the rise.

Outlook and risks. The outlook is favorable but vulnerable to adverse developments in commodity prices and spending pressures in the period leading to the 2016 presidential elections. A low foreign exchange reserves cushion leaves the economy vulnerable to external shocks. In addition, continued delays in adopting some economic legislations and lingering insecurity in parts of the country are also sources of risk.

Key challenges. The main challenges in the short to medium term are to: (i) address competing demands given the limited budget resources in 2015–16, (ii) build more buffers to withstand possible shocks from both external and domestic sources, (iii) diversify the economy and make it more inclusive, and (iv) maximize the benefits to the population of natural resources exploitation.

Policy recommendations. The authorities are urged to move swiftly to meet these challenges in order to preserve the hard-won gains and address rising inequality. In particular, they need to: (i) step up domestic revenue mobilization, (ii) reinforce the de-dollarization process and accumulate more international reserves; (iii) remove bottlenecks to private sector activity, (iv) strengthen governance and enhance transparency in the management of natural resources, and (v) implement the measures identified in the 2014 Financial Sector Assessment Program (FSAP) aimed at promoting both the soundness and inclusiveness of the financial system.

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Approved By
**Michael Atingi-Ego
and Ranil Salgado**

Discussions took place in Kinshasa from May 20 to June 3, 2015. The staff team comprised Messrs. Toé (head), Hellwig, Koulet-Vickot, Maino (all AFR), Melhado (res rep), and Mvogo (local economist). The mission met with Prime Minister Matata Mpoyo, Minister of Finance Henri Yav Mulang, Minister of State for budget Michel Bongongo, Central Bank Governor Déogratias Mutombo Mwana Nyembo, President of the Senate Honorable Kengo wa Dondo, and his deputies, and representatives of the electoral commission, civil society organizations, the private sector, the diplomatic community; and the media. Main findings and recommendations of the mission were disseminated during a day-long seminar organized by the authorities.

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STRONG MACROECONOMIC PERFORMANCE, BUT HIGH VULNERABILITIES

1. **DRC's macroeconomic performance remained strong.** Real gross domestic product (GDP) growth in 2014 is estimated at 9.2 percent,¹ essentially driven by copper production and the service sector (telecommunications, trade, and transport). Year-on-year inflation stabilized at 1.0 percent at end-December 2014. The fiscal position recorded a small surplus in 2014 despite a one percentage point of GDP increase in expenditures, driven by higher exceptional spending on security in the context of the fiscal anchor adopted in 2009² while government revenue (excluding grants) increased only marginally (0.4 percentage points of GDP). The external current account deficit narrowed to 9.2 percent of GDP in 2014 from 10.6 percent of GDP in 2013, reflecting an improvement in the terms of trade and strong mineral export volumes.³ Sustained inflows of foreign direct investments (FDI) contributed to an overall balance of payments surplus, despite decreasing official capital transfers. However, international reserves fell in U.S. dollar terms (See Figure 1). The exchange rate remained relatively stable since 2010, even though the de-jure exchange rate arrangement is floating.
2. **The financial health of the banking system seems to have improved somewhat in 2014.** Average ratio of regulatory capital-to-risk-weighted assets improved slightly in 2014 as did profitability and liquidity ratios. However, the quality of the portfolio deteriorated with non-performing loans to total gross loans increasing to 6.9 percent from 5.4 percent in 2013.
3. **Nonetheless, vulnerabilities remain elevated:**
 - *Weak competitiveness.* While there is no sign of an exchange rate misalignment for DRC in 2014 other indicators show that DRC's competitiveness is impaired by structural bottlenecks and a challenging business climate. Electricity shortages are becoming a hindrance to economic activity, particularly mining.
 - *Low official reserves.* Official reserves declined by US\$118 million in 2014 to US\$1.6 billion, enough to cover only 1.6 months of next year's projected imports compared with at least 11.5 months as estimated in the reserve adequacy assessment (see Appendix III).
 - *Central bank and financial sector vulnerabilities.* The financial position of the Central Bank of Congo (BCC) remained precarious, undermining the conduct of monetary policy. As underscored by the 2014 FSAP, the insurance and pension systems are also in a dire financial position, as are many microfinance institutions (MFIs).

¹ The authorities' estimate is 9.5 percent.

² The fiscal anchor, adopted in the context of the 2009 Extended Credit Facility-supported program, calls for zero financing of budget deficits from the central bank (apart from the use of counterpart funds from HIPC and MDRI).

³ In 2014, copper production and exports crossed the 1 million tons threshold, making DRC the world's 6th largest copper exporter. The production of gold also more than doubled.

4. **DRC continues to display some characteristics of fragility, such as:**

- *Fractious political setting.* The political situation remains fluid essentially because two major opposition parties still question the legitimacy of the president following the disputed 2011 presidential elections. These parties also declined to join the government of national cohesion appointed last December.
- *Heightened political uncertainty.* Seven elections at a total cost of \$1.1 billion are to be held between October 2015 and November 2016 without any clear indication of how they will be financed.⁴ Mixed signals about whether the incumbent president will abide by the term limit imposed by the Constitution are adding to the political uncertainty. Also, a constitutionally-mandated increase in the number of provinces from 11 to 26 enacted in May 2015 further increases uncertainty about the electoral process.
- *Residual security risks.* Residual rebel activities in the eastern provinces and delays in institutional reforms, including the security sector reform (SSR)⁵ are making lasting peace in the east elusive.

5. **Implementation of past policy recommendations was broadly satisfactory, but key structural reforms continued to lag (see Appendix I).** These relate to the Central Bank and the Commercial Bank Laws, the Mining Code, the recapitalization of the BCC, and measures aimed at enhancing transparency in the management of natural resources and strengthening the corporate governance and accountability of major state-owned enterprises (SOEs). Similarly, reforms to strengthen financial stability, banking supervision, and resolution of financial crises made little progress (see Table 8).

A PROMISING BUT RISKY OUTLOOK

6. **The medium-term outlook is favorable.** Real GDP growth is projected to remain strong at 9.2 percent in 2015—among the highest rates in the world—and average 8.4 percent in 2016–17 before stabilizing at around 6 percent in 2018–20. This projected growth path is predicated on a continued dynamism of the primary and tertiary sectors. Inflation is targeted at 2.5 percent, as fiscal policy remains prudent throughout the projection period. Despite a sustained increase in exports boosted by production of new copper mines (Sicomines) and gold, the current account deficit would increase to double digits by 2018 due to rising dividend outflows and imports. Even though the overall balance is expected to remain in surplus, international reserves would decline in the absence of interventions by the BCC.

⁴ The Independent National Electoral Commission (CENI) estimates the funds needed for the elections in 2015 at \$397 million against \$247 million budgeted.

⁵ Essentially under the Addis Ababa Peace, Security, and Cooperation Framework for the DRC, signed in February 2013 by the UN Secretary General and 11 African heads of state aimed at fostering sustained peace.

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7. **This positive outlook is subject to a number of downside risks.** These include: (i) a prolonged decline in commodity prices, (ii) deterioration of the political situation, and (iii) delays in implementing the revenue-raising measures⁶ combined with failure to contain spending pressures in the electoral context (see Table 9). The materialization of these risks would lead to slower overall growth, macroeconomic instability, and a significant drop in the level of official foreign exchange reserves. In particular, a significant slowdown in China could negatively affect copper prices⁷ and export earnings, lead to sustained lower fiscal revenues, and undermine macroeconomic stability and the poverty reduction efforts. The uncertainty related to the upcoming elections in 2015–16 is already causing a wait-and-see attitude among investors.

Authorities' Views

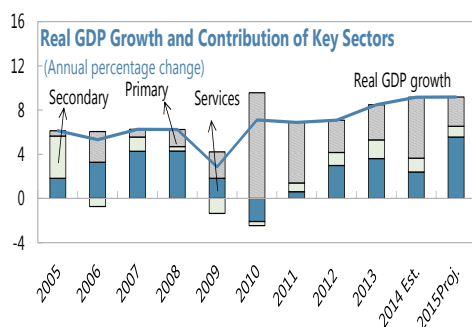
8. The authorities broadly agreed with the outlook and characterization of risks. They projected near-term growth in line with staff projection, but are more optimistic about the medium term. They saw DRC as vulnerable to adverse shocks and expressed concern about the energy sector bottlenecks. They also acknowledged that a lack of progress in de-dollarizing the economy could intensify vulnerabilities in the financial sector. The authorities also underscored that security risks have not totally abated and could weigh in on economic activity in the affected regions.

⁶ In particular, measures underpinning the revenue projections in the 2015 Finance Act and the recommendations of an IMF February 2015 technical assistant (TA) mission aimed at improving the performance of the value-added tax (VAT).

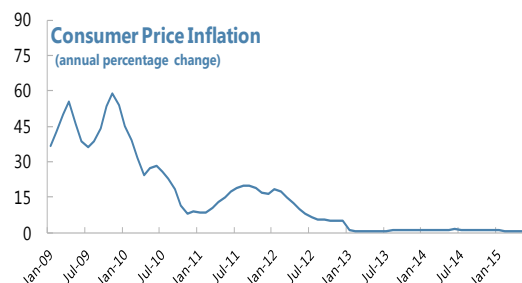
⁷ The current slowdown in China has not, to date, affected copper exports.

Figure 1. Democratic Republic of the Congo: Recent Economic Developments

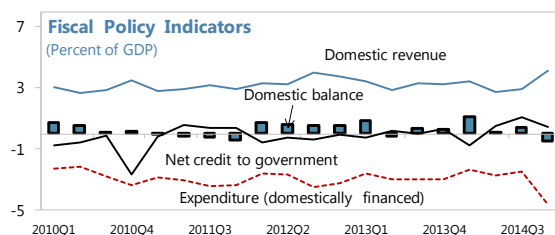
Economic growth is accelerating...



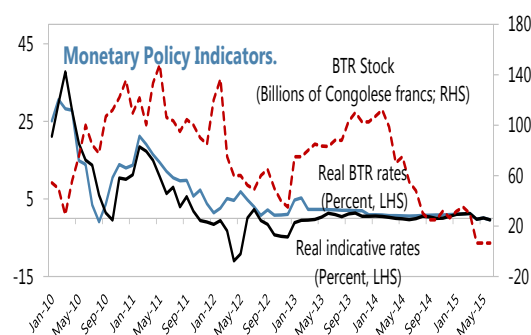
...while inflation declined to record lows...



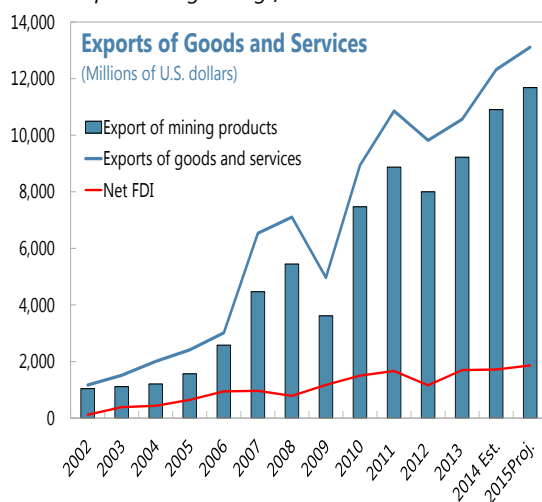
... on the heels of a tight fiscal policy stance...



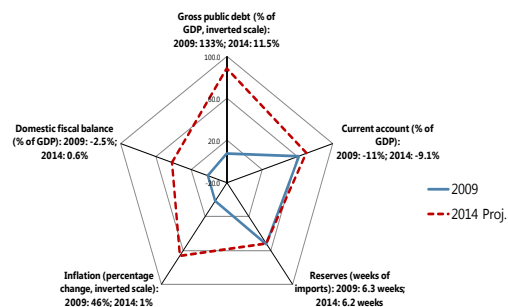
...and prudent monetary policy.



Mineral exports are growing fast...



...and macro-financial buffers are improving.

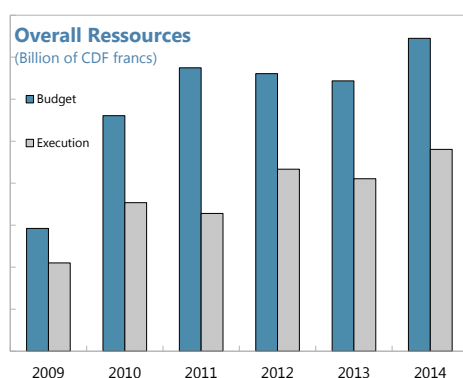


Sources: Congolese authorities and IMF staff estimates.

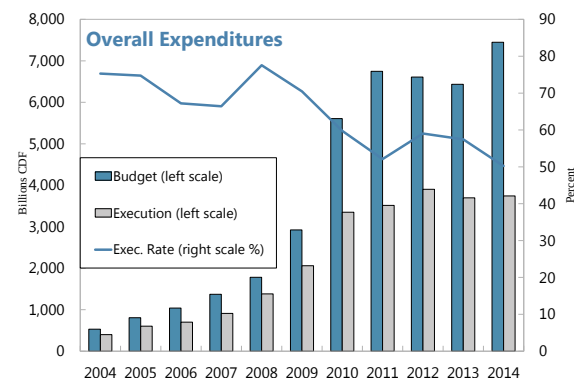
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Figure 2. Democratic Republic of the Congo: Indicators of Budget Credibility¹

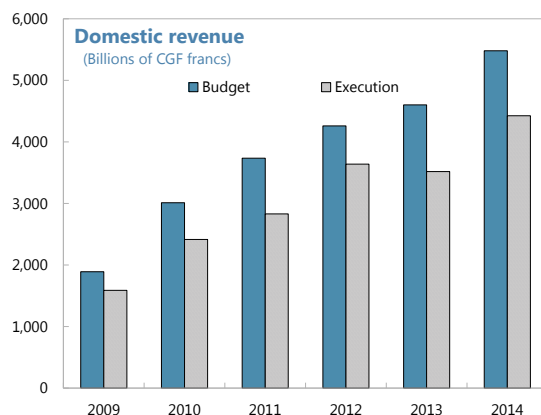
Wide differences between projected and actual total revenues...



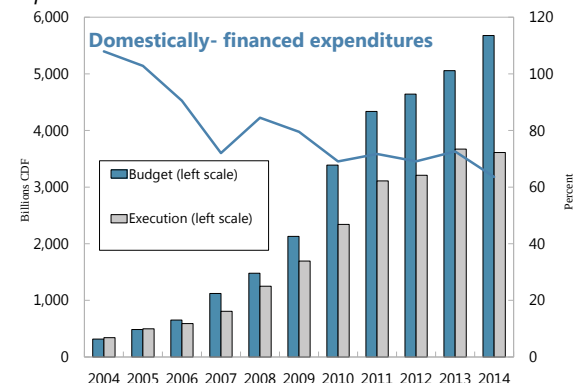
...negatively affect expenditure execution and budget credibility.



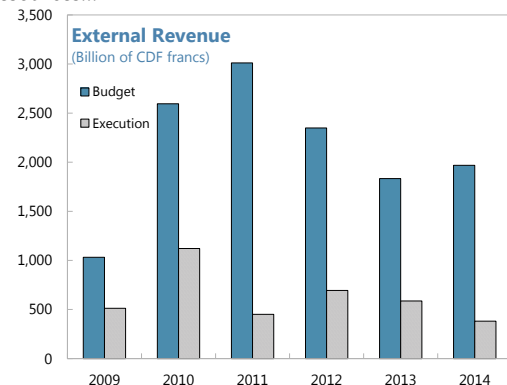
Relatively better domestic revenue projections...



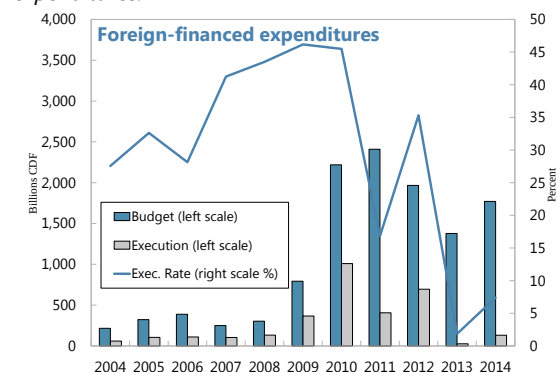
...lead to better execution of domestically-financed expenditures...



...while overly optimistic assumptions on external resources...



...explain the lower execution rate of the foreign-financed expenditures.



Sources: Congolese authorities and IMF staff calculations.

¹ Detailed execution data for 2014 is not available.

POLICY DISCUSSIONS

Despite abundant natural resources and a robust macroeconomic performance in recent years, fiscal space remains limited and poverty widespread. The natural resource sector, particularly mining, has been the main driver of economic growth, which has so far not been inclusive. Against this backdrop, policy discussions focused on how to: (i) address competing demands stemming from election financing on limited budget resources in 2015–16, (ii) build more buffers to withstand possible shocks from both external and domestic sources; (iii) remove bottlenecks to private sector activity, and (iv) optimally exploit natural resources to increase the benefits to the population.

A. Building Resilience and Addressing Inequality

9. **Policy buffers are presently insufficient given DRC's vulnerabilities and the prospects of adverse commodity price developments.** While macroeconomic performance remained strong over the past years, the hard-won gains could be reversed in the event of significant negative shocks to copper prices. The resulting deterioration in fiscal performance would make adherence to the fiscal anchor strenuous. Also, the high dollarization of the economy constrains the effectiveness of monetary policy and hampers banks' liquidity management. Furthermore, the low level of international reserves limits the BCC's ability to respond in case of a sharp depreciation of the exchange rate.

10. **A faster reserve accumulation is needed to withstand shocks.** Given the significant shortfall in DRC's reserve holdings (see ¶13), staff recommended that the BCC accumulate more international reserves through active interventions in the foreign exchange market and be prepared to sterilize its purchases to limit the pass through to inflation. Staff encouraged a rapid recapitalization of the BCC, which together with the medium-term de-dollarization strategy adopted by the authorities will extend the reach of monetary policy and its effectiveness, and strengthen its lender of last resort function. It stressed, however, that success of the de-dollarization strategy is a long-term process requiring a stable macroeconomic environment, a credible central bank, effective banking supervision, and a sufficiently developed financial infrastructure.

11. **Strong macroeconomic performance, but weak social indicators and high inequality.** DRC's strong growth over the past several years did not lead to significant job creation; poverty remains pervasive and unemployment is high,⁸ particularly among the youth (see Box 1). Although social indicators related education, health, access to water, and infant mortality have improved in recent years, DRC will likely not achieve any of the MDGs by 2015. Development of non-mining activities necessary to promote inclusion is hampered by structural bottlenecks and a challenging business climate. The World Bank Doing Business 2015 Report ranks DRC 184th (out of 189 countries), worse than most peer countries in the region

⁸ The authorities' recent data shows unemployment declined from a high of 60.8 in 2009 to 43 percent in 2014.

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(Text Table 1).⁹ The most recent Human Development Indicator shows that DRC has the highest percentage of its population living on less than \$1.25 a day when ranked among its neighbors in the Great Lakes Region (Text Table 2).

Text Table 1. Ease of Doing Business Ranking, Selected African Countries

Country	Rank
Rwanda	46
Zambia	111
Tanzania	131
Uganda	150
Burundi	152
Congo, Dem. Rep.	184
Chad	185
South Sudan	186
Central African Republic	187
Libya	188
Eritrea	189

Source: World Bank, *Doing Business 2015*.

Text Table 2. Human Development Index, Selected African Countries

Country	Rank	Value
Zambia	141	0.561
Kenya	147	0.535
Rwanda	151	0.506
Tanzania	159	0.488
Uganda	164	0.484
Congo, Dem. Rep.	186	0.338

Source: UNDP, 2013.

12. **Diversification of the economy is a prerequisite to promote more inclusive growth.** Economic diversification in the DRC lags behind compared to other sub-Saharan African (SSA) economies (see Box 2). Staff urged the authorities to accelerate the needed reforms to promote economic diversification and sustain the ongoing structural transformation. In particular, measures aimed at improving the business climate should be implemented to enhance the private sector's role in growing the economy. These include simplification of: (i) the tax system to support higher non-mineral activity and promote inclusive growth, (ii) the regulation for granting construction permits and transfer of ownership, and (iii) facilitating access to credit while enforcing contracts. Government expenditures should be prioritized in favor of basic infrastructure, the agriculture sector where labor is intensive, and improving human capital.

Authorities' Views

13. The authorities recognized the need to build policy buffers, but expressed concerns about the impact of a gradual depreciation of the currency on inflation as inflationary expectations could easily be rekindled given that memories of hyperinflation are still fresh. They pointed to some progress made in improving the business climate, particularly in the areas of starting a business and dealing with construction permits and legislations recently enacted,¹⁰

⁹ As pointed out in an independent evaluation of the Doing Business survey (see www.worldbank.org/ieg/doingbusiness), care should be exercised when interpreting these indicators given subjective interpretation, limited coverage of business constraints, and a small number of informants, which tend to overstate the indicators' coverage and explanatory power.

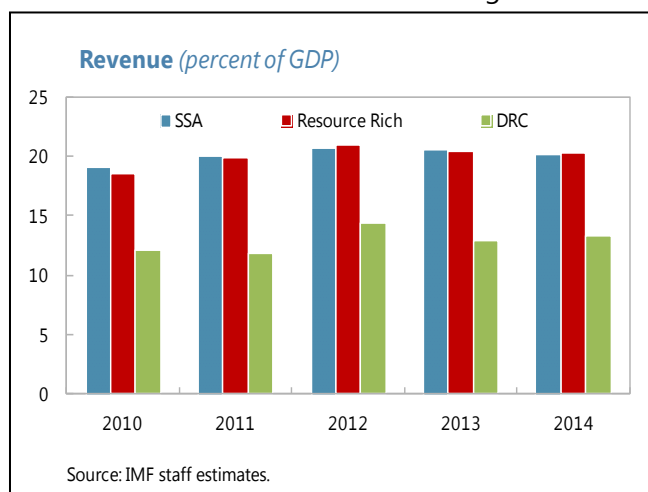
¹⁰ A new [Insurance Code](#) and a law on [leasing](#) were adopted in March 2015, as was the Hydrocarbon Law in June 2015.

while recognizing that their efforts to promote private sector development are hindered by electricity bottlenecks. The authorities noted that the recent improvement in social indicators was the direct result of increased budget allocations to the education and health sectors and expressed optimism about the potential to develop agriculture based agro-industrial parks.¹¹ They have liberalized the energy sector to allow production by independent power producers and are seeking financing for investments in power generation and transmission.

B. Increasing Fiscal Space and Enhancing Budget Credibility and Monitoring

14. **Despite robust GDP growth and abundant natural resources, fiscal space remains too narrow and shrinking.** DRC has one of the lowest revenue-to-GDP ratios in SSA as the natural resource sector, particularly mining, has not contributed its fair share through 2014

(see Box 3). Domestic revenue mobilization efforts slackened over the past two years with the revenue-to-GDP ratio falling from 14.4 percent in 2012—when a VAT was introduced with great initial success—to 13.3 percent in 2014. Taxes on goods and services fell the most due to weak revenue administration and an erosion of the tax base at customs. At the same time, spending pressures from stemming for the elections in 2015–16 and infrastructure for the new provinces present short-term trade-offs and may crowd out spending on priority social programs and infrastructure projects, which are essential to promote more inclusive growth. Spending pressures for electoral politicking may affect the quality of public spending.



15. **Stepping up domestic resource mobilization is critical.** Increasing fiscal space will preserve the level of investments in basic infrastructure and priority social sectors and still ensure adequate financing of the elections. Efforts to increase revenues in the short term should start with improving the performance of the VAT, which deteriorated from 4.5 percent of GDP in 2012 to 2.9 percent of GDP in 2014. The administration of the VAT must be strengthened by the effective application of existing standard procedural rules, as well as by the modernization and simplification of procedures. Risk-based tax audits would allow better control of VAT credits and

¹¹ A pilot farm (Bukanga-Lonzo) started producing corn this year with the potential of reaching 250,000 tons annually by 2020 and a total investment of \$500 million. However, it is capital intensive with modern farming techniques.

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accelerate legitimate refunds. Staff urged the authorities to adhere to the fiscal anchor,¹² given the political context and implement the measures included in the 2015 Finance Act aimed at aligning the current taxable customs values of petroleum products with their market values. It also recommended swift passage of a new mining code, strengthening oversight of SOEs, and implementing targeted anti-money laundering measures to optimize revenues from the natural resources sector.

16. **Budget credibility is low.** The large gap between actual and forecasted revenue and expenditures weakens the credibility of the budget (see Box 4 and Figure 2). Over the past five years, frequent budget overruns in some areas and revenue shortfalls have resulted in ad-hoc adjustments to spending in other areas and therefore in significant fluctuations of budget execution rates. The resulting reprioritization of expenditures by the executive branch without the legislative branch's approval through supplementary budgets as provided by the Public Finance Law, undermines the latter's role in the budget process.

17. **Realistic resources projections are essential for budget credibility.** To minimize the risk of discrepancy between projections and outcomes, it is necessary to use past outturns as a basis for budget projections. Use of supplementary budgets is also a means to strengthen the

credibility of the budget process. Tax measures attached to the draft budget must be adopted simultaneously with the budget law or otherwise the related resources deducted from the draft budget. Staff recommended including annual budgets in a

medium-term budget framework (MTBF) aligned with the priorities in the poverty reduction strategy paper (PRSP), and better information sharing with donors to reduce discrepancies between budgeted external resources and outturns to enhance budget credibility.

18. **An alternative scenario with better outcomes.** The main assumptions are that the authorities adopt staff policy advice, implement TA recommendations,¹³ and accelerate the stalled structural reforms, particularly the reforms of the central bank (expected to be completed by 2016). Under this scenario, growth would be higher, averaging about 9 percent during 2015–19 compared to 8 percent in the baseline; inflation is targeted to average

Text Table 3. Democratic Republic of the Congo: Cumulative Impact of Revenue Measures, 2014–19
(Percent of GDP)

Measure	
Elimination of tax expenditures	1.0
Tighter control of VAT base in non-resource sectors	1.6
Strengthening of border controls	1.0
Better control of natural resource tax base	0.5
Total	4.1
Sources: IMF staff estimates and projections.	

¹² Adoption of an anchor that excludes mineral resources will be discussed in the context of the next Article IV consultation.

¹³ The IMF is helping build capacity targeting critical surveillance areas such as domestic revenue mobilization (including extractive industries), PFM, central bank modernization, and national accounts.

2.9 percent against 2.2 percent in the baseline and the exchange rate to depreciate gradually. The external current account improves, averaging 8 percent of GDP during 2015–19 against 9 percent of GDP in the baseline. A gradual depreciation of the exchange rate would allow for the much-needed reserves accumulation to increase resilience (Figure 2 and Table 5). The significant improvement in the revenue-to-GDP ratio is predicated on a steadfast implementation of recent the Fiscal Affairs Department (FAD) TA recommendations, namely (i) broadening the tax base, (ii) introducing e-procedures beginning with the VAT at the large taxpayer office, and (iii) developing risk-based compliance program for large- and medium-sized businesses.

Authorities' Views

19. The authorities broadly shared staff's assessment of the potential for revenue generation over the medium term. For the short term, they pointed to the weakness and governance problems plaguing the revenue administration and noncompliance by some taxpayers. They noted the recent progress made in implementing the recommendations of the Extractive Industries Transparency Initiative (EITI)¹⁴ and the National Conferences on Mineral Resources Management that would improve revenue from the sector. The authorities concurred with Staff's views on the need to strengthen budget credibility by improving resources forecasts. They indicated that the budget allocations are based on the priorities of the PRSP. In addition, they emphasized that the medium-term expenditure framework is being strengthened. To this end, they are finalizing a decree on Fiscal Governance in the DRC that will be adopted soon. They underscored that efforts are being made by the CENI to reduce the cost of the elections to lessen pressures on the budget and, in this regard, may submit a supplementary budget to Parliament.

Text Table 4. Democratic Republic of the Congo: Selected Economic and Financial Indicators. Baseline and Alternative Scenarios, 2014–19											
	2014	2015	2016	2017	2018	2019	2015	2016	2017	2018	2019
	Est	Baseline proj.					Alternative scenario proj.				
Real GDP	9.2	9.2	8.5	8.3	7.5	6.7	9.7	10.1	8.7	7.6	6.8
Consumer prices, period average	1.0	0.9	2.5	2.5	2.5	2.5	1.5	2.7	3.5	3.5	3.5
Fiscal revenue (% of GDP)	13.3	13.7	14.1	14.5	14.8	15.1	13.7	15.1	15.9	16.7	17.4
Overall balance, including grants (% of GDP)	0.1	0.5	0.0	-0.1	0.1	-0.2	0.5	-0.1	0.0	0.1	-0.2
Current account, including grants (% of GDP)	-9.2	-7.5	-7.7	-9.4	-10.1	-10.1	-7.3	-7.6	-8.7	-8.7	-7.5
Gross reserves (weeks of non-aid imports of goods and services)	6.8	5.5	4.6	3.9	3.5	3.1	7.8	9.4	10.4	11.1	11.9
Sources: Congolese authorities; and IMF staff estimates and projections.											

¹⁴ DRC became EITI compliant in 2014 and started a pilot project on disclosure of beneficial ownership of extractive companies.

C. Strengthening the Central Bank and Promoting Financial Sector Stability and Inclusion

20. **The development of an efficient monetary policy operational framework has been hampered by a number of factors.** These include: (i) high dollarization of the economy; (ii) the weak financial position of the central bank; and (iii) capacity constraints. Furthermore, the lack of instruments and the high dollarization are also important limitations to the BCC's ability to steer domestic currency short-term rates. In addition, the absence of an active money market in both dollar and domestic currency severely undermines the transmission mechanism of monetary policy. Although the BCC strived to enhance staff technical qualifications on financial issues, capacity remains limited.

21. **Strengthening the financial and operational autonomy of the BCC is essential.** Staff urged the authorities to: (i) finalize the BCC recapitalization process as soon as possible; (ii) adopt the draft legislation on the statute of the BCC to enshrine its independence while strengthening accountability; and (iii) apply the terms of 2011 agreement¹⁵ on the rate of interest on securitized receivables of the state held by the BCC. It noted the commitment of the BCC to disengage from the hospital before the end of 2015 and encouraged it to continue its efforts to reduce its operating costs.

22. **Financial intermediation, access, and market depth are limited.** As underlined in the 2014 FSAP, financial deepening requires important structural reforms. These include enhancing supervision and strengthening crisis management practices, and improving the auditing and availability of credit information. Access to financial services compares poorly with peer countries.¹⁶ Furthermore, the limited role of microfinance institutions, a large part of which suffer from solvency problems and lack of capital, impairs access by small and medium enterprises (SMEs).

23. **The stability of the financial sector must be strengthened to limit its exposure to shocks.** The 2014 evaluation report on the stability of the financial sector has indeed shown that the financial system is particularly vulnerable to shocks, the lack of a risk-based supervision, inadequate regulation and a lack of rigor in the application of the monitoring device. In line with the main findings of the 2014 report evaluating the stability of the financial sector, the mission recommended to: (i) adopt the Commercial Bank Law; (ii) implement a risk-based monitoring; (iii) strengthen the workforce and the training of supervisors; and (iv) finalize the guidelines for the strengthening of regulations on provisioning and classification of non-performing loans.

¹⁵ In the context of a partial recapitalization of the BCC in 2011, it was agreed that the interest will be set by mutual agreement between the Treasury and the BCC.

¹⁶ Credit to the private sector is well below the average for SSA's resource-rich countries despite the recent acceleration.

24. **Increasing access to financial services is necessary for inclusive growth.** The benefits of financial inclusion are numerous and known. For households, access to financial services facilitates the accumulation of assets, risk management and consumption smoothing. For small and medium enterprises, financial inclusion is associated with an increase in investment, innovation and job creation. Staff encouraged the authorities to: (i) develop the financial infrastructure through the payment systems, making operational the new credit registry, increasing information on borrowers by setting up a credit bureau; (ii) support the reduction of costs of opening and managing accounts; and (iii) make the most of the opportunities offered by the development of new information and communications technology. Staff welcomed the adoption of the insurance code and called for its timely implementation to promote access to credit.

Authorities' Views

25. **The authorities agreed on the need to strengthen the central bank.** They concurred with the staff's view on the urgency of enhancing the credibility of the BCC. They indicated that its recapitalization should be accompanied by a plan to cut its operating costs and improve its governance. Against the backdrop of low aggregate credit and deposit levels—six and nine percent in terms of GDP, respectively—the authorities also recognized the importance of increasing access to finance. To this end, a new foreign exchange swap facility—arranged with the International Finance Corporation—was implemented to enhance financing. Furthermore, building on TA provided by the Fund, the authorities are focusing on: (i) enhancing consumer protection and mobile banking and (ii) strengthening the financial stability framework by reinforcing the work on de-dollarization of the economy and banking supervision.

OTHER ISSUES

26. **The DRC's risk of debt distress remains moderate as in the 2014 debt sustainability analysis (DSA).** However, the DRC will need to continue its prudent policy and borrow mainly on concessional terms while strengthening its debt management capacity (see DSA).

27. **Data quality needs to be improved.** DRC's data has some shortcomings but is broadly adequate for surveillance purposes. Staff urged the authorities to further strengthen capacity in data compilation, handling and, also, on capacities to perform statistical analysis. Staff also suggested the authorities to provide greater financial autonomy to the National Statistical Agency (INS).

Authorities' views

28. **The authorities agreed with the staff assessment but stressed that progress is being implemented in this area.** They mentioned plans to improve collaboration across ministries and with the BCC and INS to produce more reliable data. The authorities welcomed the technical assistance provided in all these areas and, in particular, on national accounts statistics.

STAFF APPRAISAL

29. **After years of high growth rates and a stable macroeconomic environment, the DRC is now at a crossroads.** Staff commends the authorities for their steadfast pursuit of prudent macroeconomic policies, which was instrumental in the attainment of macroeconomic stability in DRC. It is noteworthy that such a performance was achieved despite DRC's fragility and limited external financial assistance. However, there is no room for complacency given looming vulnerabilities and the unsettled political and security situation. The prevailing pervasive poverty and high inequality calls for stronger efforts to diversify the economy, promote inclusive growth, and improve the social indicators.

30. **The political and security situation remains challenging.** DRC continues to exhibit the characteristics of a fragile state, which are exacerbating long standing vulnerabilities. Restoring lasting peace in the eastern provinces would help crowd in government expenditure for social sectors and infrastructure to support job creation. It is therefore important that the institutional reforms under the Addis Ababa Peace, Security, and Cooperation Framework, including the SSR be accelerated. Removing the political uncertainty related to the elections would help restore confidence of private investors.

31. **There is an urgent need to rebuild policy buffers and enhance domestic revenue mobilization.** The authorities are to be commended for pursuing prudent fiscal policy despite a difficult environment. Their continued commitment to the fiscal anchor calls for the creation of more fiscal space in the short term to ease the expenditure trade-offs, while financing of the elections. They need to move expeditiously to implement the revenue-enhancing measures identified by Fund TA missions, build up international reserves, and improve budget credibility.

32. **Strengthening of the central bank should not be delayed any further.** Recapitalization of the BCC and passage of the Central Bank Law need to move forward to enable the central bank to fulfill its mandate. Putting the BCC on a sound financial footing while increasing its accountability will enhance its credibility and improve the effectiveness of monetary policy. At the same, the BCC should focus on its core activities. In this regard, the planned divestiture from the hospital is noted and should be accompanied by a rationalization of the BCC's operating costs.

33. **Promoting financial sector stability and development while improving inclusion will go a long way in sustaining strong economic growth.** Enhancing supervision and crisis management practices, and improving auditing and availability of credit information could help expand financial deepening. Furthermore, the solvency problems and lack of capital of MFIs should be addressed to improve access by SMEs to financial services. It is also critical to reinforce implementation of the regulatory framework with effective on-site inspections; promote financial inclusion, and facilitate access to financial services.

34. **Enhancing transparency and good governance in the mineral resource sector is critical for harnessing these resources for DRC development.** The authorities are to be commended for the recent made progress in transparency of its extractive industries. Further measures are needed to strengthen the government's oversight of the SOEs and ensure that they comply with the obligations to publish contracts of all mining operations and resort to competitive biddings when natural resource assets are sold. Enactment of a new mining code aligned with international best practices should lead to a higher contribution from the mining sector to government revenue.

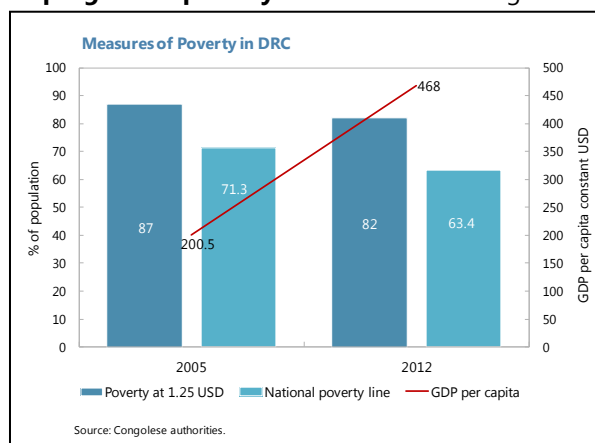
35. **Data quality needs improvement.** Staff commends the authorities for regularly providing data broadly adequate for surveillance. It is imperative that the lack of resources for the production of key statistical data receives immediate attention. The authorities are encouraged to allocate more resources to statistics and leverage the capacity building assistance being provided by the Fund and other development partners for better outcomes.

36. **Staff recommends that the next Article IV consultation with the DRC be held on the standard 12-month consultation cycle.**

DEMOCRATIC REPUBLIC OF THE CONGO

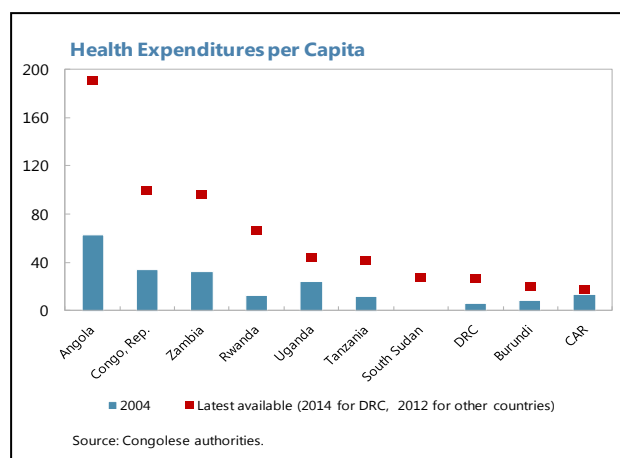
Box 1. Poverty in the Democratic Republic of the Congo

The Democratic Republic of the Congo (DRC) made progress in poverty reduction. Extending a continuous decrease since 1990, the share of the population living below the national poverty line receded by 8 percentage points between 2005 and 2012, to 63.4 percent driven by gains in the agriculture sector. Poverty reduction was most significant in rural areas (-14 percent). Yet, with high unemployment in the formal sector and precarious jobs in the informal sector, poverty remains pervasive, above the SSA average. The pace of poverty reduction has also varied widely across provinces.



While social indicators also improved, none of the Millennium Development Goals (MDGs) will be achieved by 2015. Health indicators improved significantly during the last decade. Life expectancy, which had decreased to 46.3 years by 2000, rose to 51.7 years in 2013, while the rate of child mortality decreased by 30 percent between 2007 and 2012. Progress was also made in the fight against communicable diseases and neo-natal care. However, geographical access and affordability continue to pose major obstacles to the delivery of health services. Progress was more significant in education with most indicators doubling between 2002 and 2012. Access to primary school is now quasi universal and exceeds the SSA average. Better quality in teaching, reduced inequities in access and achievements between social groups and also between genders are the next challenge.

Commitments from the authorities and support from donors have been decisive in education and health. Given the rapid population growth, continuous investments and spending in the sector combined with enhanced management, better traceability, and accountability will be needed.



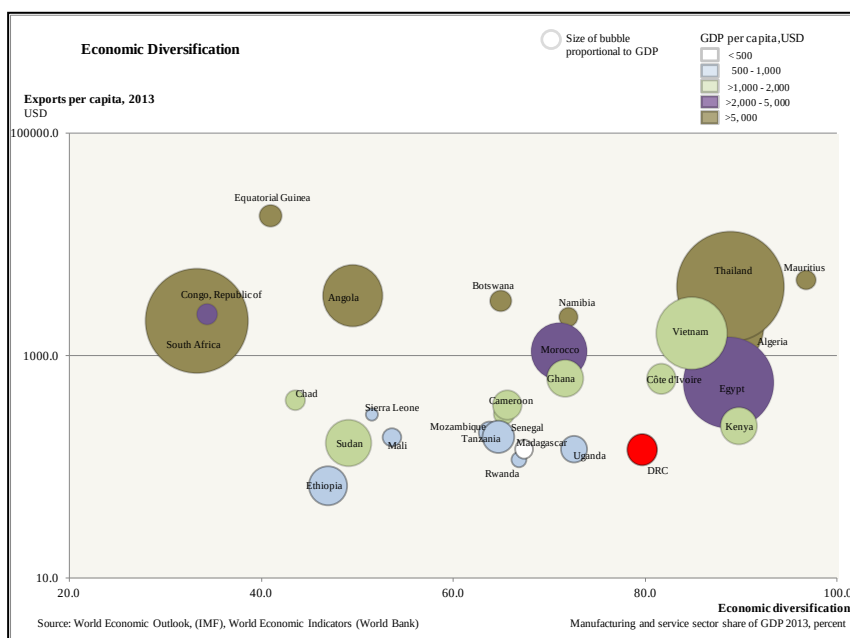
Box 2. Growth, Structural Transformation, and Export Diversification

While natural resources have delivered strong economic growth over recent years, the DRC faces challenges regarding export diversification. While manufacturing—mainly, mining activities—is of great significance to the development of the country, the value added of the service sector is essential to promote higher growth. The leading component of this sector is trade and commerce, which are indirectly linked to the mining activities mainly in the copper and zinc industries. DRC has maintained a steady sectoral share in the last decade, but has lagged behind the average of SSA countries in terms of its manufacturing and services as a share of GDP. Structural changes that followed after 2004 gradually brought the country to a much more favorable position today. However, DRC’s diversification has lagged vis-à-vis comparators in SSA because exports are concentrated on minerals, even though overall export diversification and product exports moved slightly upwards, based on exports of new minerals in the last decade.

Factor productivity could be enhanced to achieve higher growth rates. Growth decomposition shows that the contributions of capital and labor have not been significant in DRC. Moreover, human capital has shown a negligible contribution to economic growth while total factor productivity has been low and stable. Hence, prioritizing human capital development becomes critical to promote further inclusion and economic diversification.

Product diversification could be enhanced in DRC.

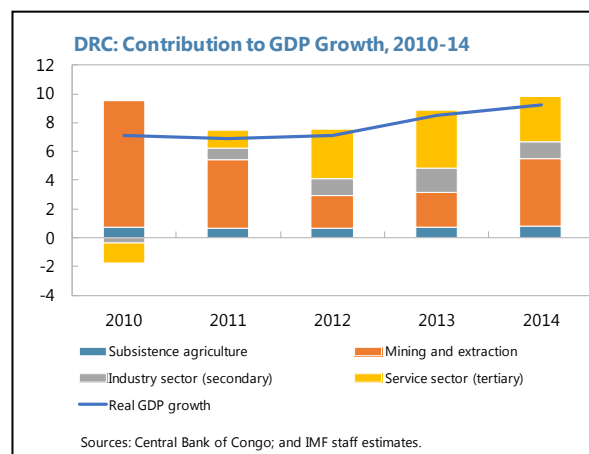
Product diversification could yield growth gains. Based on the estimates in IMF (2014a), a one standard deviation increase in LIC’s export diversification raises the growth rate by about 0.8 percentage points.¹ For the DRC, this translates into estimated growth gains of 0.2 percentage points if export diversification was raised to levels observed in comparators like Vietnam. Developing human capital could also have a significant effect on DRC’s growth rates. Improving infrastructure and trade networks, reducing barriers to entry for new products, and deepening financial markets would accelerate economic diversification



¹ IMF, 2014a, “Sustaining Long-Run Growth and Macroeconomic Stability in Low-Income Countries— The Role of Structural Transformation and Diversification.” IMF Policy Paper, March.

Box 3. Contribution of the Natural Resources Sector to the Congolese Economy

The mining sector's contribution to real GDP growth has been strong starting in 2010. The mining code adopted in 2002 fueled steady inflows of foreign direct investments and a shift from artisanal mining to industrial production. DRC became the fifth largest producer of copper in the world in 2014 with 1.065 million tons produced. The sector now generates around one fifth of GDP and has accounted for one third of the growth recorded since 2004. Despite the recent adverse price developments and prospects, mineral production is expected to increase over the medium term as new mines enter production stage.



However, spillovers to other sectors of the economy remain limited, especially on government revenue and employment. The mining industry largely operates as an enclave within the economy with little spillovers to other sectors. Direct employment from the formal sector represents less than 0.5 percent of the labor force in the DRC, reflecting its capital intensive nature. Due to the generous provisions of the 2002 mining code and weaknesses in revenue administration, payments to the public sector were estimated at only 3.8% of GDP in 2012.

The contribution of the mining sector to public finances started to increase, but would benefit from better transparency and more accountability. With the end of the accelerated amortization granted to some major mining projects, as provided under the 2002 mining code, mining companies have started paying corporate tax in 2015. Also, a significant share of revenues from the mining sector has been mobilized directly by state-

Mining Fiscal Regimes: DRC and Peer Comparators (in percent)		
Country	Royalty rate applying to copper 1/	Corporate Income Tax 2/
Chile	0-14	20; 42
Congo, Dem. Rep.	2	30
Indonesia	4	25
Zambia, 2014 regime	6	30 plus variable income tax

Source: FAD Fiscal Analysis of Resource Industries (FARI) database.
1/ Based on production level and operating margin
2/ If the company opted for the tax invariability regime

A revision of the mining code is key to further improve the revenue profile from the mining sector. Ongoing discussions on a new mining code seek to address the limitations of the 2002 mining mode with a view to increasing government revenue without jeopardizing the profitability of new projects. Implementation of the FARI model provided to the authorities through technical assistance from the IMF is expected boost revenue from the sector. Increasing local value added in the production process represents another policy objective worth pursuing.

Box 4. Strengthening Budget Credibility and Monitoring Budget

Wide differences between actual and forecasted resources undermine budget credibility for a number of reasons. First, taxes not collected mean that some expenditure will not take place, which directly undermines budget credibility. Second, shortfalls in budgeted resources lead to ad hoc re-prioritizing and re-allocating of resources by the executive branch, thus reducing the Parliament's role in the budget process. Third, the government seldom sends supplementary budget to Parliament.

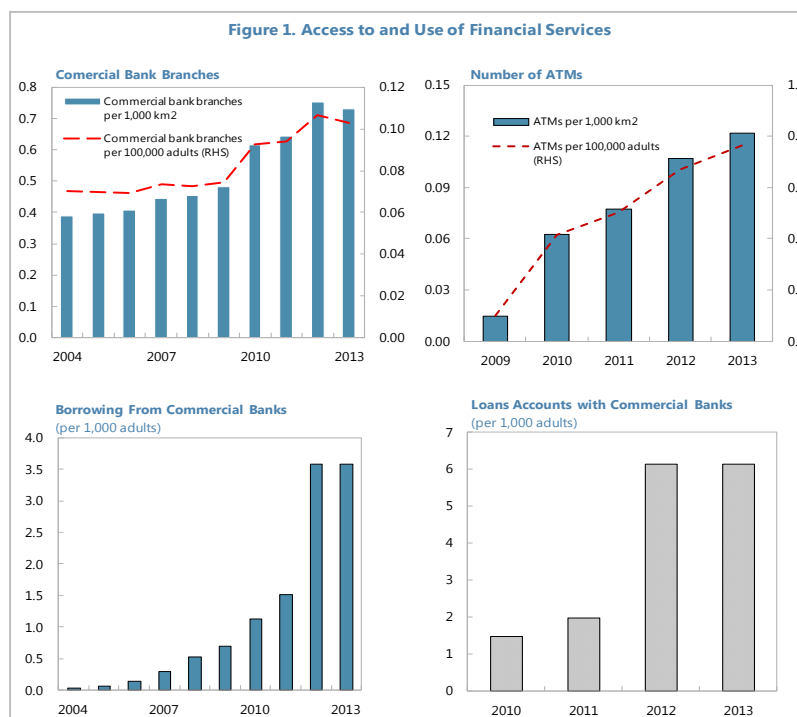
There is a significant difference between budgeted resources and outcomes. The gap fluctuated between 48.6 to 71.9 percent over the past 5 years mostly on account of external resources, which fluctuated between 15 to 50 percent (see Figure 2). Both the grants and loans components of external financing have contributed to these outcomes. This calls into question the realism on the part of the authorities and foreign donors, the absorptive capacity, and the lack information sharing.

Difference between domestic revenue forecasted and outturns also contribute to the volatility in budget execution. This is so because tax and non-tax revenue projections are based not on previous years' revenue outturns, but on budget projections. The result is that budget execution outturns have been on average 45 percent lower than initial projections, undermining budget credibility. It is therefore important a link be established between previous year's outturns and current year projections during the budget preparation process.

Box 5. Financial Inclusion—Progress and Challenges

The Democratic Republic of the Congo (DRC) has made some headway toward financial inclusion over the past decade.

Evidence is provided by the increase in the number of access points for financial services, as well as by the number of depositors and borrowers (Figure 1). In addition, a benchmarking analysis reveals that DRC performed in line with its potential. Better macroeconomic and political environment together with the “*bancarisation*” policy implemented from 2011 (i.e., the policy of paying civil servant employees through bank accounts), are the driving forces behind this progress.



Despite this recent progress, financial inclusion in DRC remains low compared to regional peers in the Southern African Development Community (SADC). According to the 2014 FinScope Survey, the DRC has the lowest inclusion financial levels in the SADC region. Individuals at the bottom of the income distribution are the most financially excluded, in particular people making a living in farming activities.

Firms in DRC are also excluded. According to the World Bank Enterprise Survey, about 43 percent of enterprises in the DRC do not have a checking or savings account in 2013 as compared to an average of 13 percent for sub-Saharan Africa (SSA). More than 90 percent of enterprises in the DRC do not have a loan or line of credit, against 77 percent in SSA.

Financial literacy, income levels, and lack of trust in financial institutions are the main barriers to financial inclusion for households. The lack of access to financial services for firms is explained by the financial infrastructure gap and by weak judiciary and legal systems.

Policy measures to foster financial inclusion in the DRC include among others: (i) filling the infrastructure information gap, (ii) providing flexible regulatory environment to encourage the development of technology-based financial services, (iii) restructuring and strengthening the oversight of the MFIs, and (iv) promoting contractual savings. In addition, the authorities need to step up efforts to make government payments and collect taxes through financial institutions and fully exploit the mobile banking potential.

Table 1. Democratic Republic of the Congo: Selected Economic and Financial Indicators, 2012–20

	2012	2013	2014	2015	2016	2017	2018	2019	2020
	Act.	Est.				Proj.			
(Annual percentage change; unless otherwise indicated)									
GDP and prices									
Real GDP	7.1	8.5	9.2	9.2	8.5	8.3	7.5	6.7	5.4
GDP deflator	4.7	9.3	1.3	2.2	1.4	2.3	2.5	2.6	2.6
Consumer prices, period average	2.1	0.8	1.0	1.0	1.7	2.5	2.5	2.5	2.5
External sector									
Exports, f.o.b. (U.S. dollars)	-9.5	14.1	17.3	4.0	13.2	8.1	11.4	10.4	7.0
Imports, f.o.b. (U.S. dollars)	-10.0	15.2	19.5	-3.0	6.3	14.5	12.8	11.0	11.2
Export volume	-3.4	22.8	10.1	10.6	12.9	7.2	10.6	9.5	6.2
Import volume	-10.8	10.7	26.9	11.5	5.4	11.6	10.8	9.4	9.5
Terms of trade	-5.6	-6.3	9.2	5.4	-0.8	-0.3	0.1	0.3	0.5
(Annual change in percent of beginning-of-period broad money)									
Money and credit									
Broad money	21.1	18.1	14.2	9.3	...	...	...	...	...
Net foreign assets	22.9	2.3	2.7	2.8	...	...	...	...	...
Net domestic assets	-1.9	15.7	11.3	6.6	...	...	...	...	...
Domestic credit	-4.6	14.5	14.9	2.1	...	...	...	...	...
Of which:									
Net credit to government (annual percent change)	-18.9	3.6	2.6	-7.3	...	...	...	...	...
Credit to the private sector (annual percent change)	25.6	26.5	22.7	20.1	...	...	...	...	...
(Percent of GDP; unless otherwise indicated)									
Central government finance									
Revenue and Grants	17.2	15.3	14.6	16.1	16.8	16.6	16.8	17.1	17.4
Revenue	14.4	12.9	13.3	13.7	14.1	14.5	14.8	15.1	15.4
Grants	2.9	2.4	1.3	2.4	2.7	2.1	1.9	1.9	1.9
Expenditure	15.4	13.4	14.4	15.3	16.6	16.4	16.5	17.1	17.5
Overall balance (including grants)	1.5	1.6	0.1	0.5	0.0	-0.1	0.1	-0.2	-0.3
Investment and saving									
Gross national saving	5.8	4.7	6.6	8.0	7.0	6.8	7.4	8.4	8.9
Government	-2.5	-3.7	-2.2	-1.2	-1.8	-1.5	-1.2	-1.4	-1.3
Nongovernment ¹	8.3	8.4	8.8	9.2	8.7	8.3	8.6	9.8	10.2
Investment	12.7	15.3	15.7	15.5	14.7	16.2	17.6	18.6	20.0
Government	4.6	6.2	6.4	6.4	5.7	6.5	6.6	6.8	7.0
Nongovernment	8.1	9.1	9.3	9.1	8.9	9.7	11.0	11.7	13.0
Balance of payments									
Exports of goods and services	35.6	32.3	34.3	32.8	34.0	33.1	33.9	34.7	34.6
Imports of goods and services	40.0	38.0	41.8	37.3	36.4	37.4	38.3	38.8	39.8
Current account balance, incl. transfers	-6.9	-10.6	-9.2	-7.5	-7.7	-9.4	-10.1	-10.1	-11.2
Current account balance, excl. transfers	-9.8	-14.0	-13.8	-11.3	-9.5	-11.1	-11.6	-11.6	-12.6
Overall balance	2.2	0.2	0.1	0.3	0.5	0.6	0.7	0.5	0.4
Gross official reserves (weeks of non-aid-related imports of goods and services)	7.1	6.2	6.2	5.5	4.6	3.9	3.5	3.1	3.2
(Percent of GDP)									
External public debt									
Total stock, including IMF	16.6	13.6	11.5	13.5	14.4	16.5	18.8	20.2	21.7
Present value (PV) of debt	19.4	13.5	15.2	11.0	12.5	13.9	15.4	16.0	16.7
PV of debt (percent of exports of goods and services)	54.3	41.9	44.2	33.6	36.9	42.1	45.6	46.3	48.5
Exchange rate, (CDF per U.S. dollar)									
Period average	919	920	925	...	...	...	...	...	...
End-of-period	915	926	925	...	...	...	...	...	...
Memorandum item:									
Scheduled debt service	181.7	194.6	189.0	223.7	245.4	354.9	317.2	293.8	286.6
Percent of exports of goods and services	1.8	1.8	1.5	1.7	1.7	2.2	1.8	1.5	1.4
Percent of government revenue	4.6	4.6	4.0	4.1	4.0	5.1	4.1	3.4	3.1
Gross official reserves (end-of-period, millions of U.S. dollars)	1645	1695	1577	1534	1482	1418	1394	1344	1305
Nominal GDP (CDF billions)	25,344	30,051	33,224	37,056	40,774	45,210	49,818	54,493	58,931
Nominal GDP (U.S.\$ million)	27,566	32,676	35,918	39,982	43,665	47,937	52,300	56,642	60,648

Sources: Congolese authorities; and IMF staff estimates and projections.

¹ The projections for 2011 and beyond account for mining companies profit outflows.

² Projections are based on calculations under the 2010 HIPC Debt Sustainability Analysis (EBS/10/121, 06/16/2010). Includes assistance beyond the terms of the enhanced HIPC Initiative granted by some Paris Club creditors. Exports are a trailing three-year moving average.

DEMOCRATIC REPUBLIC OF THE CONGO

Table 2a. Democratic Republic of the Congo: Central Government Financial Operations, 2012–20

	2012	2013	2014	2015	2016	2017	2018	2019	2020
	Act.	Est.				Proj.			
(Billion CDF, unless otherwise specified)									
Total revenue and grants	4,369	4,588	4,847	5,957	6,848	7,504	8,355	9,296	10,233
Total revenue	3,639	3,873	4,425	5,067	5,733	6,539	7,397	8,255	9,098
Tax revenue	2,565	2,823	3,249	3,865	4,389	5,027	5,724	6,424	7,132
Income tax	689	942	1,130	1,410	1,571	1,758	1,951	2,146	2,335
Individuals	360	529	577	656	736	833	936	1,045	1,152
Businesses	329	413	554	754	834	925	1,015	1,102	1,183
Revenue from goods	26	46	51	56	62	69	76	83	90
Wage taxes	0	0	0	0	0	0	0	0	0
Taxes on goods and services	1,850	1,835	2,068	2,398	2,756	3,200	3,697	4,195	4,707
Value added tax / Tax on turnovers	1,137	963	1,102	1,286	1,491	1,751	2,046	2,327	2,615
Excises	241	332	331	369	406	450	496	542	586
International trade	472	540	635	743	859	999	1,155	1,326	1,505
Non-tax revenue	1,074	1,049	1,177	1,202	1,345	1,512	1,672	1,830	1,966
Revenue from natural resources and telecoms	689	404	279	260	301	344	387	428	452
Mining royalties	90	108	43	35	44	56	71	90	97
Exceptional revenue from the mining industry	304	0	0	0	0	0	0	0	0
Oil royalty and rent	168	173	131	105	121	134	143	146	148
Forest industry	1	0	0	0	0	0	0	0	0
Telecoms	125	123	106	121	136	153	172	192	208
Dividends from state-owned enterprises	69	73	62	44	50	55	59	61	63
Fees from sectoral ministries	143	182	412	460	511	578	637	697	753
Other non-tax revenue	173	36	32	2	3	3	3	3	4
Licenses	2	4	2	2	3	3	3	3	4
Real estate transaction registration	2	0	0	0	0	0	0	0	0
Penalties and fines	169	32	30	0	0	0	0	0	0
Special accounts and budgets ¹		354	391	436	480	532	586	641	694
Total grants	730	716	421	890	1,114	965	958	1,042	1,134
Budget grants	193	226	64	448	468	490	435	466	501
<i>Of which: HIPC/MDRI debt relief ²</i>	193	193	40	448	468	490	435	466	501
Project grants	536	490	358	442	647	476	523	576	633
Total expenditures	3,910	4,036	4,795	5,659	6,764	7,429	8,216	9,319	10,285
Current expenditures	2,813	3,281	3,334	3,713	4,079	5,284	5,888	6,684	7,385
Salaries	1,220	1,408	1,583	1,853	2,243	2,487	2,785	3,174	3,535
Interest due	366	359	322	319	320	385	381	382	380
External debt	235	228	222	213	207	252	236	223	208
Internal debt	131	132	99	106	113	134	144	159	172
Goods and services	813	1,016	827	833	772	1,419	1,603	1,841	2,051
Transfers	414	497	604	707	744	992	1,120	1,287	1,419
Capital expenditures	927	388	407	1,214	1,404	1,613	1,741	1,994	2,206
Foreign-financed	694	26	131	883	962	923	942	1,014	1,094
Domestically financed	233	362	277	331	442	691	799	979	1,112
Central government	69	133	106	97	94	266	307	377	428
Transfers to provinces (capital)	164	229	170	235	349	425	492	603	684
Exceptional expenditures ³	170	13	662	296	800	0	0	0	0
Foreign-financed	0	0	0	49	160	0	0	0	0
Domestically financed	170	13	662	247	640	0	0	0	0
<i>Of which: elections</i>	31	7	45	247	640	0	0	0	0
Special accounts and budgets ¹	0	354	391	436	480	532	586	641	694
Payment of domestic arrears	69	62	31	96	97	98	99	100	101
Overall fiscal balance	389	491	20	202	-13	-23	40	-123	-153
Financing needs ⁴	-409	-506	-183	49	291	329	219	419	494
Total financing	-409	-506	-183	49	291	329	219	419	494
Domestic financing	-431	-415	-26	-290	-55	52	-55	130	219
Banking system	-431	-415	-26	-290	-55	52	-55	130	219
Central bank	-431	-415	-26	-290	-55	52	-55	130	219
Commercial banks	0	0	0	0	0	0	0	0	0
Non-banks financial institutions	0	0	0	0	0	0	0	0	0
Financing	0	0	0	0	0	0	0	0	0
Debt relief	0	0	0	0	0	0	0	0	0
Proceed of assets sales	0	0	0	0	0	0	0	0	0
Foreign financing	23	-91	-157	339	346	277	274	289	275
New arrears	0	0	0	0	0	0	0	0	0
Budget loans	0	0	0	0	0	0	0	0	0
Project loans	158	64	0	489	476	447	418	439	461
Amortisation of external debt	273	392	388	409	415	483	407	447	527
Debt relief	137	237	231	259	285	313	262	298	341
Paid	136	155	157	150	130	170	144	150	186
Financing gap	0	0	0	0	0	0	0	0	0
<i>Memorandum items</i>									
Gross Domestic Product (CDF billion)	25,344	30,051	33,224	37,056	40,774	45,210	49,818	54,493	58,931
Gross Domestic Product (USD million USD)	27,566	32,676	35,918	39,982	43,665	47,937	52,300	56,642	60,648

Sources: Congolese authorities and IMF staff estimates and projections.

¹ From 2013, various funds and previously off budget items are included in the Budget.

² Reflects calculation of HIPC Initiative assistance on the basis of the 2010 Debt Sustainability Analysis (EBS/10/121.16/06/2010).

³ Mainly security and elections.

⁴ Overall fiscal balance, minus HIPC/MDRI debt relief, plus debt relief on foreign interest payments.

⁵ Excluding grants, interest payments on external debt, and foreign-financed expenditures.

Table 2b. Democratic Republic of the Congo: Central Government Financial Operations, 2012–20

	2012	2013	2014	2015	2016	2017	2018	2019	2020
	Act.	Est.	Projections						
Percentage of GDP, unless otherwise indicated									
Total revenue and grants	17.2	15.3	14.6	16.1	16.8	16.6	16.8	17.1	17.4
Total revenue	14.4	12.9	13.3	13.7	14.1	14.5	14.8	15.1	15.4
Tax revenue	10.1	9.4	9.8	10.4	10.8	11.1	11.5	11.8	12.1
Income tax	2.7	3.1	3.4	3.8	3.9	3.9	3.9	3.9	4.0
Individuals	1.4	1.8	1.7	1.8	1.8	1.8	1.9	1.9	2.0
Businesses	1.3	1.4	1.7	2.0	2.0	2.0	2.0	2.0	2.0
Revenue from goods	0.1	0.2	0.2	0.2	0.2	0.2	0.2	0.2	0.2
Wage taxes	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Taxes on goods and services	7.3	6.1	6.2	6.5	6.8	7.1	7.4	7.7	8.0
Value added tax / Tax on turnovers	4.5	3.2	3.3	3.5	3.7	3.9	4.1	4.3	4.4
Excises	0.9	1.1	1.0	1.0	1.0	1.0	1.0	1.0	1.0
International trade	1.9	1.8	1.9	2.0	2.1	2.2	2.3	2.4	2.6
Non-tax revenue	4.2	3.5	3.5	3.2	3.3	3.3	3.4	3.4	3.3
Revenue from natural resources and telecoms	2.7	1.3	0.8	0.7	0.7	0.8	0.8	0.8	0.8
Dividends from state-owned enterprises	0.3	0.2	0.2	0.1	0.1	0.1	0.1	0.1	0.1
Fees from sectoral ministries	0.6	0.6	1.2	1.2	1.3	1.3	1.3	1.3	1.3
Other non-tax revenue	0.7	0.1	0.1	0.0	0.0	0.0	0.0	0.0	0.0
Special accounts and budgets ¹		1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2
Total grants	2.9	2.4	1.3	2.4	2.7	2.1	1.9	1.9	1.9
Budget grants	0.8	0.8	0.2	1.2	1.1	1.1	0.9	0.9	0.9
<i>Of which:</i> HIPC/MDRI debt relief ²	0.8	0.6	0.1	1.2	1.1	1.1	0.9	0.9	0.9
Project grants	2.1	1.6	1.1	1.2	1.6	1.1	1.1	1.1	1.1
Total expenditures	15.4	13.4	14.4	15.3	16.6	16.4	16.5	17.1	17.5
Current expenditures	11.1	10.9	10.0	10.0	10.0	11.7	11.8	12.3	12.5
Salaries	4.8	4.7	4.8	5.0	5.5	5.5	5.6	5.8	6.0
Interest due	1.4	1.2	1.0	0.9	0.8	0.9	0.8	0.7	0.6
External debt	0.9	0.8	0.7	0.6	0.5	0.6	0.5	0.4	0.4
Internal debt	0.5	0.4	0.3	0.3	0.3	0.3	0.3	0.3	0.3
Goods and services	3.2	3.4	2.5	2.2	1.9	3.1	3.2	3.4	3.5
Transfers	1.6	1.7	1.8	1.9	1.8	2.2	2.2	2.4	2.4
Capital expenditures	3.7	1.3	1.2	3.3	3.4	3.6	3.5	3.7	3.7
Foreign-financed	2.7	0.1	0.4	2.4	2.4	2.0	1.9	1.9	1.9
Domestically financed	0.9	1.2	0.8	0.9	1.1	1.5	1.6	1.8	1.9
Exceptional expenditures ³	0.7	0.0	2.0	0.8	2.0	0.0	0.0	0.0	0.0
Foreign-financed	0.0	0.0	0.0	0.1	0.4	0.0	0.0	0.0	0.0
Domestically financed	0.7	0.0	2.0	0.7	1.6	0.0	0.0	0.0	0.0
<i>Of which:</i> elections	0.1	0.0	0.1	0.7	1.6	0.0	0.0	0.0	0.0
Special accounts and budgets ¹	0.0	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2
Payment of domestic arrears	0.3	0.2	0.1	0.3	0.2	0.2	0.2	0.2	0.2
Overall fiscal balance	1.5	1.6	0.1	0.5	0.0	-0.1	0.1	-0.2	-0.3
Financing needs ⁴	-1.6	-1.7	-0.6	0.1	0.7	0.7	0.4	0.8	0.8
Total financing	-1.6	-1.7	-0.6	0.1	0.7	0.7	0.4	0.8	0.8
Domestic financing	-1.7	-1.4	-0.1	-0.8	-0.1	0.1	-0.1	0.2	0.4
Banking system	-1.7	-1.4	-0.1	-0.8	-0.1	0.1	-0.1	0.2	0.4
Central bank	-1.7	-1.4	-0.1	-0.8	-0.1	0.1	-0.1	0.2	0.4
Commercial banks	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Non-banks financial institutions	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Foreign financing	0.1	-0.3	-0.5	0.9	0.8	0.6	0.5	0.5	0.5
Project loans	0.6	0.2	0.0	1.3	1.2	1.0	0.8	0.8	0.8
Amortisation of external debt	1.1	1.3	1.2	1.1	1.0	1.1	0.8	0.8	0.9
Financing gap	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Memorandum items									
Gross Domestic Product	25,344	30,051	33,224	37,056	40,774	45,210	49,818	54,493	58,931
Gross Domestic Product (USD)	27,566	32,676	35,918	39,982	43,665	47,937	52,300	56,642	60,648

Sources: Congolese authorities; and IMF staff estimates and projections.

¹ From 2013, various funds and previously off budget items are included in the Budget.

² Reflects calculation of HIPC Initiative assistance on the basis of the 2010 Debt Sustainability Analysis (EBS/10/121,16/06/2010).

³ Mainly security and elections.

⁴ Excluding grants, interest payments on external debt, and foreign-financed expenditures.

DEMOCRATIC REPUBLIC OF THE CONGO

Table 3. Democratic Republic of the Congo: Monetary Survey, 2011–15
(At current exchange rates)

	2011 Dec.	2012 Dec.	2013 Dec.	2014 Dec.	2015 Dec.
	Act.	Act.	Prel.	Proj.	
(CDF billions)					
Net foreign assets	834.9	1389.2	1457.8	1552.2	1662.6
Central bank	19.2	337.1	393.4	353.1	311.0
Commercial banks	815.7	1052.0	1064.3	1199.2	1351.5
Net domestic assets	1,608.7	1563.7	2024.3	2409.3	2676.8
Domestic credit	441.0	326.6	712.9	1118.4	1201.2
Net credit to government	-521.0	-977.9	-872.8	-784.3	-1074.2
Credit to the private sector	913.3	1147.2	1450.8	1780.5	2139.1
Credit to parastatals	48.7	157.3	134.9	122.2	136.2
Credit to the economy	962.0	1304.5	1585.7	1902.6	2275.4
Of which: credit to private sector	913.3	1147.2	1450.8	1780.5	2139.1
Of which: credit to parastatals	48.7	157.3	134.9	122.2	136.2
Other items, net (including valuation change)	1,167.7	1237.2	1311.4	1290.9	1475.6
Difference of credit	51.2	8.5	-49.7	-149.1	0.0
Difference of banks deposits	-66.5	-67.6	-63.6	-28.6	0.0
Of which: Valuation change	22.8	19.2	52.9	42.1	34.7
Broad money (M2)	2,418.4	2930.1	3460.4	3950.5	4316.7
Narrow money (M1)	790.1	883.8	1061.5	1180.2	1224.9
Currency in circulation	615.3	595.2	692.9	742.5	722.0
Demand deposits	174.7	288.7	368.6	437.7	502.9
Quasi money	1,628.4	2046.3	2398.9	2770.2	3091.8
Time deposits in domestic currency	17.5	25.7	30.4	35.6	215.7
Foreign currency deposits	1,610.8	2020.5	2368.5	2734.6	2876.1
(Year-on-year change, percent)					
Net foreign assets	-8.0	66.4	4.9	6.5	7.1
Net domestic assets	46.0	-2.8	29.4	19.0	11.1
Domestic credit	588.8	-25.9	118.3	56.9	7.4
Net credit to government	-30.6	87.7	-10.8	-10.1	37.0
Credit to the economy	18.0	35.6	21.6	20.0	19.6
Of which: credit to the private sector	16.7	25.6	26.5	22.7	20.1
Of which: credit to parastatals	50.5	223.0	-14.3	-9.4	11.5
Other items, net (including valuation change)	12.5	5.9	6.0	-1.6	14.3
Broad money (M2)	23.1	21.2	18.1	14.2	9.3
Narrow money (M1)	11.9	11.9	20.1	11.2	3.8
Quasi money	29.4	25.7	17.2	15.5	11.6
(Annual change, percent of beginning-of-period broad money)					
Net foreign assets	-3.7	22.9	2.3	2.7	2.8
Net domestic assets	25.8	-1.9	15.7	11.1	6.8
Domestic credit	19.2	-4.7	13.2	11.7	2.1
Net credit to government	11.7	-18.9	3.6	2.6	-7.3
Credit to the economy	7.5	43.3	31.8	29.9	31.6
Other items, net (including valuation change)	6.6	2.9	2.5	-0.6	4.7
Broad money (M2)	23.1	21.2	18.1	14.2	9.3
Narrow money (M1)	4.3	3.9	6.1	3.4	1.1
Quasi money	18.8	17.3	12.0	10.7	8.1
Memorandum items:					
Nominal GDP (billions of Congo francs)	22,598	25,344	30,051	33,224	37,056
Velocity (GDP/broad money)	9.3	8.6	8.7	8.4	8.6
Foreign currency deposits (percent of M2)	66.6	69.0	68.4	69.2	66.6
Foreign currency deposits (percent of total deposits)	89.3	86.5	85.6	85.2	80.0
Net foreign assets of the BCC ¹	19	337	393	353	311
Net domestic assets of the BCC ¹	790	515	591	777	850
Of which: Net credit to government from the BCC ¹	-428	-752	-680	-648	-938
Base money ¹	809	852	984	1,136	1,161
Of which: currency in circulation ¹	647	643	760	817	666

Sources: Congolese authorities; and IMF staff estimates and projections.

¹ In billions of Congo francs at current exchange rates.

Table 4. Democratic Republic of the Congo: Balance of Payments, 2012–20

	2012	2013	2014	2015	2016	2017	2018	2019	2020
	Act.	Est.							
	Projections								
	(Millions of U.S. dollars; unless otherwise indicated)								
Current account	-1,906	-3,479	-3,291	-2,984	-3,350	-4,504	-5,286	-5,729	-6,784
Merchandise trade	330	284	116	954	1,881	1,252	1,195	1,220	571
Exports, f.o.b.	9,016	10,290	12,072	12,551	14,206	15,362	17,117	18,892	20,213
Of which: mining and oil	8,864	10,060	11,743	12,188	13,779	14,856	16,518	18,179	19,364
Imports, f.o.b.	-8,686	-10,006	-11,956	-11,597	-12,325	-14,110	-15,923	-17,672	-19,642
Of which: aid-related imports	-1,208	-265	-694	-1,604	-1,257	-1,192	-1,145	-1,211	-1,283
Services	-1,529	-2,141	-2,799	-2,761	-2,937	-3,310	-3,469	-3,562	-3,724
Receipts	805	271	244	562	636	525	616	754	782
Expenditure	-2,334	-2,413	-3,043	-3,323	-3,573	-3,836	-4,085	-4,316	-4,506
Of which: aid-related imports	-128	-44	-107	-187	-147	-139	-134	-141	-150
Income	-1,719	-2,838	-3,041	-3,110	-3,524	-3,809	-4,246	-4,689	-5,017
Receipts	19	49	31	83	91	100	109	118	126
Expenditure	-1,738	-2,887	-3,071	-3,193	-3,614	-3,908	-4,355	-4,807	-5,143
Of which: interest payments ²	-29	-26	-20	-19	-19	-129	-110	-293	-207
Current transfers	1,013	1,217	2,433	1,933	1,230	1,364	1,234	1,301	1,385
Of which: official aid	783	1,082	1,655	1,552	799	833	786	831	881
Capital and financial account	1,027	3,545	3,290	3,121	3,550	4,810	5,677	6,041	7,052
Capital account	803	153	26	293	541	466	508	552	596
Official	583	8	19	230	346	252	275	299	326
Private	220	146	7	63	195	214	233	252	270
Capital transfers (HIPC/MDRI)	...	...	...	...	...	...	...	...	...
Of which : from IMF	...	...	...	...	...	...	...	...	...
Financial account	224	3,392	3,264	2,828	3,010	4,344	5,169	5,489	6,456
Official capital	20	-99	-169	366	370	294	188	200	127
Gross disbursements	172	70	0	528	509	474	439	456	474
Scheduled amortization ³	-152	-169	-169	-162	-139	-180	-252	-256	-347
Private capital (net)	204	3,491	3,433	2,462	2,640	4,051	4,982	5,289	6,329
Of which: foreign direct investment	1,159	1,698	1,720	1,866	2,006	2,404	2,960	3,415	4,056
Other private non-banking sector ⁴	-955	1,793	1,713	597	633	1,646	2,022	1,874	2,273
Balance before errors and omissions	-879	66	-1	137	200	307	391	311	268
Errors and omissions	1,477	-2	32	0	0	0	0	0	0
Overall balance	598	65	32	137	200	307	391	311	268
Financing	-598	-65	-32	-137	-200	-307	-391	-311	-268
Net change in non-IMF arrears	0	0	0	0	0	0	0	0	0
Net banking sector reserves (increase = -)	-598	-65	-32	-137	-200	-307	-391	-311	-268
Central bank	-345	-50	119	4	-28	-30	-70	-25	-3
Of which: Net IMF credit	0	0	0	-39	-80	-94	-94	-75	-42
Commercial banks	-253	-15	-150	-141	-173	-276	-320	-286	-264
Financing need before exceptional assistance	0	0	0	0	0	0	0	0	0
Residual financing need (overfinancing = +)	0	0	0	0	0	0	0	0	0
Of which: fiscal	0	0	0	0	0	0	0	0	0
	(Percent of GDP, unless otherwise indicated)								
Memorandum items:									
Debt service after debt relief (percent of exports of go	1.8	1.8	1.5	1.7	1.7	2.2	1.8	1.5	1.4
Current account balance (including official transfers)	-6.9	-10.6	-9.2	-7.5	-7.7	-9.4	-10.1	-10.1	-11.2
Current account balance (excluding official transfers)	-9.8	-14.0	-13.8	-11.3	-9.5	-11.1	-11.6	-11.6	-12.6
Gross official reserves (millions of U.S. dollars)	1,645	1,695	1,577	1,534	1,482	1,418	1,394	1,344	1,305
Weeks of non-aid-related imports of goods and ser	7.1	6.2	6.2	5.5	4.6	3.9	3.5	3.1	3.2

Sources: Congolese authorities; and IMF staff estimates and projections.

¹ Two reclassifications were introduced in 2013. First, repatriation of profits by international companies operating in the natural resources sector passed from the financial account (other private non-banking sector) to the current account (expenditure under the income balance). Second, a larger part of official grants were registered under the current account (current transfers) for aid covering recurrent expenditures

² Including interest due to the IMF.

³ Excluding principal repayments to the IMF.

⁴ Including unrecorded transactions. The latter may be substantial given weaknesses in statistics.

DEMOCRATIC REPUBLIC OF THE CONGO

Table 5. Democratic Republic of the Congo: Selected Economic and Financial Indicators Under Alternative Scenario, 2012–20

	2012	2013	2014	2015	2016	2017	2018	2019	2020
	Act	Est				Proj.			
(Annual percentage change; unless otherwise indicated)									
GDP and prices									
Real GDP	7.1	8.5	9.2	9.7	10.1	8.7	7.6	6.8	5.4
GDP deflator	4.7	9.3	1.3	2.7	2.9	4.5	4.8	4.8	4.9
Consumer prices, period average	2.1	0.8	1.0	1.5	2.7	3.5	3.5	3.5	3.5
External sector									
Exports, f.o.b. (U.S. dollars)	-9.5	14.1	17.3	4.0	13.2	8.1	11.4	10.4	7.0
Imports, f.o.b. (U.S. dollars)	-10.0	15.2	19.5	-3.1	6.4	13.5	10.7	6.3	8.2
Export volume	-3.4	22.8	10.1	10.6	12.9	7.2	10.6	9.5	6.2
Import volume	-10.8	10.7	26.9	11.5	5.6	10.7	9.0	5.6	6.9
Terms of trade	-5.6	-6.3	9.2	5.4	-0.9	-0.4	0.1	0.3	0.4
(Annual change in percent of beginning-of-period broad money)									
Money and credit									
Broad money	21.1	18.1	14.2	10.3	...	...	...	...	...
Net foreign assets	22.9	2.3	2.7	19.3	...	...	...	...	...
Net domestic assets	-1.9	15.7	11.3	-8.9	...	...	...	...	...
Domestic credit	-4.6	14.5	14.9	2.4	...	...	...	...	...
Of which:									
Net credit to government (annual percent change)	-18.9	3.6	2.6	-7.2	...	...	...	...	...
Credit to the private sector (annual percent change)	25.6	26.5	22.7	20.3	...	...	...	...	...
(Percent of GDP; unless otherwise indicated)									
Central government finance									
Revenue and Grants	17.2	15.3	14.6	16.1	17.7	18.0	18.5	19.2	19.6
Revenue	14.4	12.9	13.3	13.7	15.1	15.9	16.7	17.4	17.8
Grants	2.9	2.4	1.3	2.4	2.7	2.1	1.8	1.8	1.8
Expenditure	15.4	13.4	14.4	15.3	17.5	17.8	18.2	19.3	19.6
Overall balance (including grants)	1.5	1.6	0.1	0.5	0.0	0.0	0.1	-0.2	-0.2
Investment and saving									
Gross national saving	5.8	4.7	6.6	8.3	7.3	8.2	9.4	10.6	12.0
Government	-2.5	-3.7	-2.2	-0.7	-1.8	-1.4	-1.3	-3.9	-3.8
Nongovernment ¹	8.3	8.4	8.8	8.9	9.2	9.6	10.8	14.5	15.9
Investment	12.7	15.3	15.7	15.7	15.1	16.9	18.3	18.3	19.8
Government	4.6	6.2	6.4	6.7	6.1	7.2	7.3	6.6	6.8
Nongovernment	8.1	9.1	9.3	9.1	8.9	9.7	11.0	11.7	13.0
Balance of payments									
Exports of goods and services	35.6	32.3	34.3	32.8	33.7	33.0	33.6	34.1	34.0
Imports of goods and services	40.0	38.0	41.8	37.2	36.1	36.6	36.7	35.8	35.8
Current account balance, incl. transfers	-6.9	-10.6	-9.2	-7.3	-7.6	-8.7	-8.7	-7.5	-7.6
Current account balance, excl. transfers	-9.8	-14.0	-13.8	-11.2	-9.4	-10.4	-10.2	-9.0	-9.0
Overall balance	2.2	0.2	0.1	2.0	2.4	2.1	1.7	1.7	0.4
Gross official reserves (weeks of non-aid-related imports of goods and services)	7.1	6.2	6.3	7.8	9.4	10.4	11.1	11.9	12.8
(Percent of GDP)									
External public debt									
Total stock, including IMF	16.6	13.6	11.5	13.5	14.3	16.3	18.5	19.8	21.2
Present value (PV) of debt	19.4	13.5	15.2	11.0	12.3	13.7	15.1	15.6	16.3
PV of debt (percent of exports of goods and services)	54.3	41.9	44.2	33.9	37.2	42.1	45.6	46.5	48.7
Exchange rate, (CDF per U.S. dollar)									
Period average	919	920	925	...	...	...	...	...	...
End-of-period	915	926	925	...	...	...	...	...	...
Memorandum item:									
Scheduled debt service	181.7	194.6	189.0	223.7	245.4	354.9	317.2	293.8	286.6
Percent of exports of goods and services	1.8	1.8	1.5	1.7	1.7	2.2	1.8	1.5	1.4
Percent of government revenue	4.6	4.6	4.0	4.1	3.7	4.6	3.6	2.9	2.6
Gross official reserves (end-of-period, millions of U.S. dollars)	1645	1695	1577	2189	2978	3652	4132	4768	4729
Nominal GDP (CDF billions)	25344	30051	33224	37406	42374	48133	54269	60764	67172
Nominal GDP (U.S.\$ million)	27566	32676	35918	39981	44098	48633	53235	57870	62110

Sources: Congolese authorities; and IMF staff estimates and projections.

¹ The projections for 2011 and beyond account for mining companies profit outflows.

² Projections are based on calculations under the 2010 HIPC Debt Sustainability Analysis (EBS/10/121, 06/16/2010). Includes assistance beyond the terms of the enhanced HIPC Initiative granted by some Paris Club creditors. Exports are a trailing three-year moving average.

Table 6. Democratic Republic of the Congo: Millennium Development Goals, 1990–2014

	1990	1995	2000	2005	2010	2013	2014
Goal 1: Eradicate extreme poverty and hunger							
Employment to population ratio, 15+, total (%) (modeled ILO estimate)	..	66.2	66.3	66.1	66.0	66.2	..
Employment to population ratio, ages 15-24, total (%) (modeled ILO estimate)	..	39.4	39.1	39.2	38.7	38.8	..
GDP per person employed (constant 1990 PPP \$)	1,455.0	830.0	605.0	642.0	717.0	..	..
Income share held by lowest 20%	..	..	..	5.5	..	..	..
Malnutrition prevalence, weight for age (% of children under 5)	..	30.7	..	..	24.2	23.4	..
Poverty gap at \$1.25 a day (PPP) (%)	..	..	..	52.8	..	..	..
Poverty headcount ratio at \$1.25 a day (PPP) (% of population)	..	..	..	87.7	..	..	..
Vulnerable employment, total (% of total employment)	..	..	..	..	..	..	..
Goal 2: Achieve universal primary education							
Literacy rate, youth female (% of females ages 15-24)	..	..	..	..	..	..	..
Literacy rate, youth male (% of males ages 15-24)	..	..	..	..	..	..	..
Persistence to last grade of primary, total (% of cohort)	..	..	..	..	54.5	..	..
Primary completion rate, total (% of relevant age group)	..	..	..	..	64.0	..	..
Adjusted net enrollment rate, primary (% of primary school age children)	..	66.8	..	..	..	..	..
Goal 3: Promote gender equality and empower women							
Proportion of seats held by women in national parliaments (%)	5.4	..	..	12.0	8.4	8.9	10.6
Ratio of female to male primary enrollment (%)	70.8	68.8	..	..	86.6	..	..
Ratio of female to male secondary enrollment (%)	..	60.9	..	..	57.6	..	..
Ratio of female to male tertiary enrollment (%)	..	..	..	..	..	..	..
Share of women in wage employment in the nonagricultural sector (% of total nonagri)	25.9	..	..	..	..	..	..
Goal 4: Reduce child mortality							
Immunization, measles (% of children ages 12-23 months)	38.0	27.0	46.0	61.0	74.0	73.0	..
Mortality rate, infant (per 1,000 live births)	114.7	114.7	114.6	104.9	92.4	86.1	..
Mortality rate, under-5 (per 1,000 live births)	176.0	176.0	175.9	156.0	130.7	118.5	..
Goal 5: Improve maternal health							
Adolescent fertility rate (births per 1,000 women ages 15-19)	136.9	133.6	130.9	131.2	134.0	134.3	..
Births attended by skilled health staff (% of total)	..	..	..	..	80.4	..	80.1
Contraceptive prevalence (% of women ages 15-49)	..	..	..	..	17.3	..	20.4
Maternal mortality ratio (modeled estimate, per 100,000 live births)	1,000.0	1,100.0	1,100.0	930.0	810.0	730.0	..
Pregnant women receiving prenatal care (%)	..	..	..	..	88.8	..	88.4
Unmet need for contraception (% of married women ages 15-49)	..	..	..	..	24.2	..	27.7
Goal 6: Combat HIV/AIDS, malaria, and other diseases							
Children with fever receiving antimalarial drugs (% of children under age 5 with fever)	..	..	..	..	39.1	..	29.2
Condom use, population ages 15-24, female (% of females ages 15-24)	..	..	..	..	..	..	..
Condom use, population ages 15-24, male (% of males ages 15-24)	..	..	..	..	..	..	..
Incidence of tuberculosis (per 100,000 people)	328.0	326.0	327.0	327.0	327.0	326.0	..
Prevalence of HIV, female (% ages 15-24)	0.7	0.8	0.8	0.7	0.5	0.5	..
Prevalence of HIV, male (% ages 15-24)	0.4	0.4	0.4	0.4	0.3	0.3	..
Prevalence of HIV, total (% of population ages 15-49)	1.3	1.5	1.5	1.4	1.2	1.1	..
Tuberculosis case detection rate (% of all forms)	18.0	31.0	40.0	55.0	56.0	51.0	..
Goal 7: Ensure environmental sustainability							
CO2 emissions (kg per PPP \$ of GDP)	0.1	0.1	0.1	0.1	0.1	..	..
CO2 emissions (metric tons per capita)	0.1	0.1	0.0	0.0	0.0	..	..
Forest area (% of land area)	70.7	70.0	69.4	68.7	68.0	..	..
Improved sanitation facilities (% of population with access)	17.0	18.7	22.6	26.4	30.0	..	..
Improved water source (% of population with access)	43.2	43.4	44.0	44.9	46.0	..	..
Marine protected areas (% of territorial waters)	3.8	4.4	4.4	4.4	4.4	..	..
Goal 8: Develop a global partnership for development							
Net ODA received per capita (current US\$)	25.7	4.6	3.8	34.8	56.1	38.1	..
Debt service (PPG and IMF only, % of exports of goods, services and primary income)	..	..	..	15.4	2.0	2.4	..
Internet users (per 100 people)	0.0	..	0.0	0.2	0.7	2.2	..
Mobile cellular subscriptions (per 100 people)	0.0	0.0	0.0	5.1	19.0	41.8	..
Fixed telephone subscriptions (per 100 people)	0.1	0.1	0.0	0.0	0.1	0.0	..
Other							
Fertility rate, total (births per woman)	7.1	7.3	7.1	6.7	6.3	5.9	..
GNI per capita, Atlas method (current US\$)	240	140	140	210	320	430	..
GNI, Atlas method (current US\$) (billions)	8.4	6.0	6.4	11.2	20.1	29.1	..
Gross capital formation (% of GDP)	9.1	9.4	14.4	11.8	20.7	20.6	..
Life expectancy at birth, total (years)	47.4	46.4	46.4	47.8	49.0	49.9	..
Literacy rate, adult total (% of people ages 15 and above)	..	..	..	..	..	..	..
Population, total (billions)	34.9	42.0	46.9	54.0	62.2	67.5	..
Trade (% of GDP)	58.7	52.2	27.0	44.0	90.7	74.7	..

Source: World Bank, *World Development Indicators*

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Table 7. Democratic Republic of the Congo: Financial Soundness Indicators for the Banking Sector, 2010–14

	2010	2011	2012	2013	2014 Prel.
Capital adequacy					
Regulatory capital to risk-weighted assets	29.1	31.7	29.7	23.5	24.5
Regulatory Tier I Capital to risk-weighted assets	21.0	22.9	20.9	16.7	18.5
Asset quality					
NPLs to gross loans	5.9	4.2	4.3	5.4	6.9
NPLs net of provisions to capital	10.1	8.0	11.0	14.6	21.5
Earnings and profitability					
Return on assets (net income/total assets)	0.6	1.1	1.1	1.6	1.7
Return on net income (net income/equity)	7.8	17.9	11.7	20.6	23.2
Interest margin to gross income	29.6	34.6	31.9	35.2	34.4
Non-interest expenses to gross income	88.4	82.5	83.4	81.4	80.8
Liquidity					
Liquid assets to total assets	56.9	52.5	57.7	55.5	56.4
Liquid assets/total deposits to short-term liabilities	123.1	119.2	121.3	119.5	123.9
Sensitivity to market risk					
Net open in foreign exchange position to capital	3.0	0.8	1.6	2.5	2.2
Foreign currency-denominated liabilities to total liabilities	83.7	86.4	85.6	86.0	82.8
Foreign currency-denominated loans to total loans	85.6	86.1	82.6	83.2	79.3

Source: Central Bank of Congo (BCC)

Table 8. Democratic Republic of the Congo: Key FSAP Recommendations

Recommendations	Priority	Status
Financial stability, supervision, and crisis management		
Complete the cleaning of the BCC's balance sheet and its recapitalization	Short term	Incomplete. Recapitalization Law has yet to be passed.
Adopt the draft law on Central Bank statutes, reinforcing its independence, responsibilities, and transparency	Short term	Incomplete. Banking Law has yet to be passed.
Strengthen the BCC's validation and analysis of data	Short term	Partially implemented. Work needed to implement TA recommendations.
Establish a legal and operational mechanism for crisis prevention, preparation, and management	Medium term	Partially implemented. Work needed to implement TA recommendations
Strengthen the legal and regulatory framework for bank intervention and liquidation as well as the crisis management framework	Medium term	Partially implemented. Work needed to implement TA recommendations
Set up effective risk-based supervision	Medium term	Partially completed.
Strengthen regulations on provisioning and classification of non-performing loans	Short term	Partially completed.
De-dollarization		
Create a medium-term roadmap for de-dollarization that takes into account the risks of de-dollarization.	Medium term	Partially implemented. Roadmap needs to be updated
Financial inclusion		
Adopt a revised draft law on leasing	Medium term	Law on leasing was adopted.
Strengthen supervision of microfinance and provide for the liquidation of institutions that are not viable	Short term	Incomplete.
Adoption of a viability restructuring (or liquidation) plan of the CADECO based on minimization of risks and fiscal costs.	Short term	Incomplete.
Financial infrastructure		
Review and adopt the draft law on payment systems	Short term	Incomplete.
Make the new credit registry operational	Short term	Partially implemented.
Amend the law on commercial courts, adapting it to OHADA	Medium term	Incomplete.
Non-banking financial institutions		
Promulgate an amended insurance code to strengthen governance and powers of the supervisor	Medium term	Incomplete. Legal protection of supervisors is still absent.
¹ Short term: <12 months; Medium-term: 12 to 24 months.		

Table 9. Democratic Republic of the Congo: Risk Assessment Matrix¹

Source of Risk	Relative Likelihood	Expected Impact on the Economy	Staff Advice on Policy Responses
External Risks			
Heightened risks of fragmentation/state failure/security dislocation in the Middle East and some countries in Africa, leading to a sharp rise in oil prices with negative global spillovers.	Medium with medium-term time horizon	As a minor exporter of crude oil, DRC could benefit. However, import bill of refined products would increase and, in the absence of price adjustments at the pump, revenue will decline.	Adjust domestic petroleum prices to fully pass through the increase in oil prices to consumers.
Structurally weak growth in the Euro area/Japan.	High with medium-term time horizon	Lower demand for DRC's exports resulting in Lower government revenue and a deterioration of the current account and slower accumulation of international reserves.	Accelerate implementation of reforms to increase domestic non-natural resource mobilization to lessen dependence on fiscal revenues from the mining sector.
Sharp China slowdown in 2015–16, which could negatively affect commodity prices, copper in particular.	Low with short-term time horizon	Sustained lower fiscal revenues and exports earnings leading to lower spending in priority sectors and investment, including threatening poverty reduction efforts.	Build up international reserves to provide robust buffers against external shocks.
Domestic Risks			
Delays in implementing revenue-raising measures and key structural reforms.	High with short-term time horizon	Lower government revenue, crowding out spending on priority programs and loss of credibility of the BCC.	Implement revenue measures and reinvigorate the structural reform process, in particular, the recapitalization of the BCC and its independence; increase transparency and good governance in the natural resources sector, including the SOEs.
Escalation of armed conflict.	Medium with medium-term time horizon	Slower economic activities in war-affected areas and severe strains on public finance, including diversion of resources to security related expenditures.	Accelerate implementation of the Addis Ababa Peace Framework, particularly the reform of the SSR and the disarmament, demobilization and reinsertion program.
Political turmoil stemming from delays in the legislative and presidential elections.	High with short-term time horizon	Destruction of physical infrastructure and sharp drop in economic activity.	Design contingent policies that would allow quick adjustment to the changing environment and provide budgetary resources for the elections.

¹ The Risk Assessment Matrix (RAM) shows events that could materially alter the baseline path (the scenario most likely to materialize in the view of IMF staff). The relative likelihood is the staff's subjective assessment of the risks surrounding the baseline ("low" is meant to indicate a probability below 10 percent, "medium" a probability between 10 and 30 percent, and "high" a probability between 30 and 50 percent). The RAM reflects staff views on the source of risks and overall level of concern as of the time of discussions with the authorities. Non-mutually exclusive risks may interact and materialize jointly. "Short term" and "medium term" are meant to indicate that the risk could materialize within 1 year and 3 years, respectively.

Appendix I. Implementation of Past IMF Recommendations

1. Implementation of past policy recommendations was broadly satisfactory.

The authorities steadfastly adhered to the fiscal anchor, which has been instrumental in keeping inflation low. They continued to allocate more budgetary resources to education, health, infrastructure, and agriculture. Also, measures were taken to improve the business climate, but these did not translate in an improvement in DRC's ranking in the 2015 doing business ranking and the business climate remains challenging. Progress continued to lag in the implementation of structural reforms, including in the natural resource sector, recapitalizing the Central bank of Congo (BCC), and passing key economic bills.

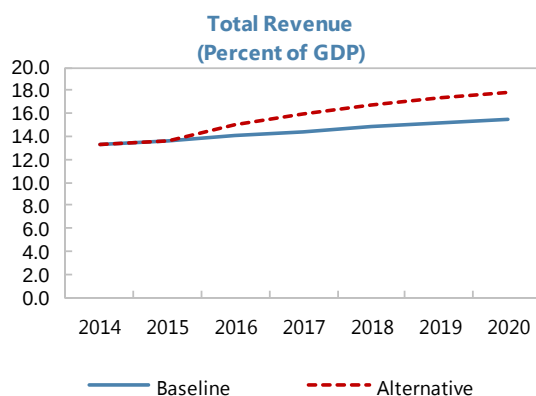
Summary of Key Policy Recommendations		
Area	Specific Recommendation	Status
MDGs	• Step up pace of reforms to promote diversified, sustainable and inclusive growth	In Progress
	• Increase priority social spending and support pro-MDG public investments	Implemented
Fiscal Sector	• Maintain the fiscal anchor consisting of zero central bank financing of the fiscal deficit apart from the use of counterpart funds from the HIPC initiative and MDRI.	Implemented
	• Increase domestic revenue mobilization by addressing known shortcomings and raising the contribution of the mining sector to the budget.	In Progress
Monetary and Financial Sectors	• Maintain a flexible exchange rate to be able to deal with exogenous shocks.	Not implemented
	• Recapitalize the central bank and bolster its operational independence and accountability.	Not implemented
	• Ensure swift passage of the central bank law to strengthen the BCC's independence and governance.	Not implemented
	• Implement FSAP recommendations to promote financial sector stability and development	Partially implemented
Governance and Transparency	• Enhance transparency and good governance in the management of natural resources.	Not implemented
	• Strengthen oversight of SOEs to avoid revenue losses, including from the sale of assets.	--
	• Adopt a mining code and petroleum law aligned with international best practices.	In Progress
	• Strengthen the anti-money laundering framework to address the illegal exploitation of natural resources.	--
Promote Inclusive Growth	• Increase social spending and investment in labor intensive sectors such as agriculture.	Partially implemented
	• Improve the business environment, including through infrastructure development to promote private sector participation in employment creation.	Partially implemented

Appendix II. Alternative Scenario

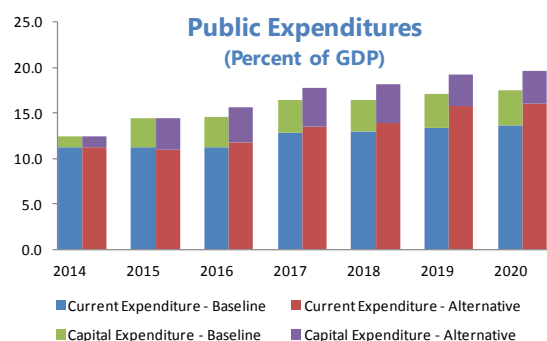
1. **The main assumptions underlying the alternative scenario are that the authorities adopt staff policy advice, implement technical assistance recommendations, and accelerate the stalled structural reforms, particularly the reforms of the central bank (expected to be completed by 2016).** Under this scenario, growth would be higher and relatively more inclusive with relatively stronger contribution from the non-mining sector. Inflation is targeted to average 2.9 percent over the medium term against 2.2 percent in the baseline and the exchange rate to depreciate gradually. The revenue-to-GDP ratio increases from 13.3 percent in 2014 to 17.4 percent by 2019; and the external current account deficit, including grants narrows to single digit by 2019 (7.5 percent of GDP against 10.1 percent of GDP in the baseline). The gradual depreciation of the exchange rate would allow some build up of international reserves, making the economy more resilient to external shocks (Figure 2 and Table 5).
2. **The improvement in the revenue-to-GDP ratio is predicated on a steadfast implementation of recent FAD TA recommendations (broadening the tax base, introducing e-procedures beginning with the VAT at the large taxpayer office, and developing risk-based compliance program for large and medium-sized businesses).** Together with a prioritization of expenditures and improvement in the efficiency of spending, the fiscal space created will allow to cover the cost of financing the elections in the 2016 budget (\$889 million) while devoting more resources to key infrastructure projects and priority social spending in health and education.
3. **The alternative scenario is subject to a number of specific downside risks, including: (i) inaction by the authorities on the key reforms and on the implementation of the TA recommendations ahead of the elections, and (ii) a higher-than-targeted inflation rate, given the history of hyperinflation.**

Figure II.1. Democratic Republic of the Congo: Baseline and Alternative Scenario

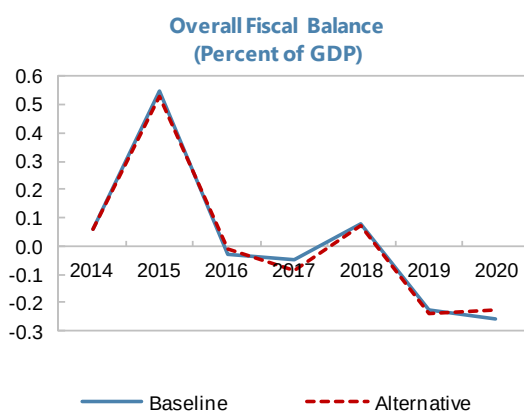
A better revenue performance ...



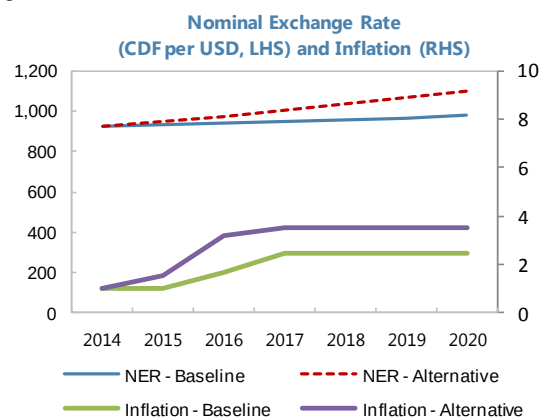
... creates space for more social spending and public investment...



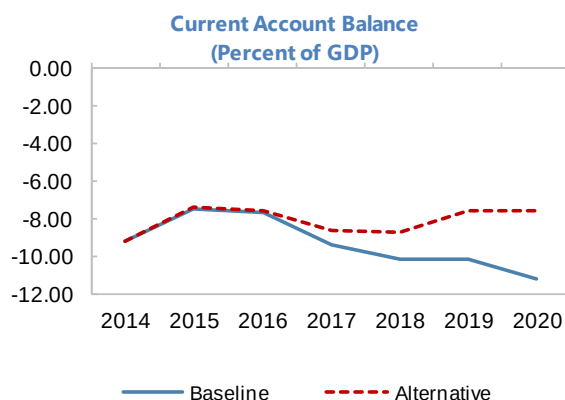
...without deteriorating the fiscal balance.



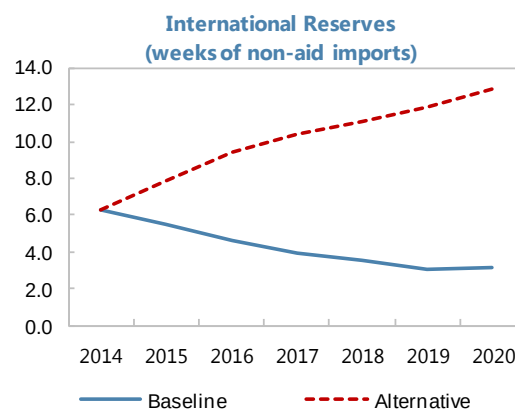
A gradual but moderate exchange rate depreciation and higher inflation...



... lead to an improved current account balance...



... and a build-up of international reserves.



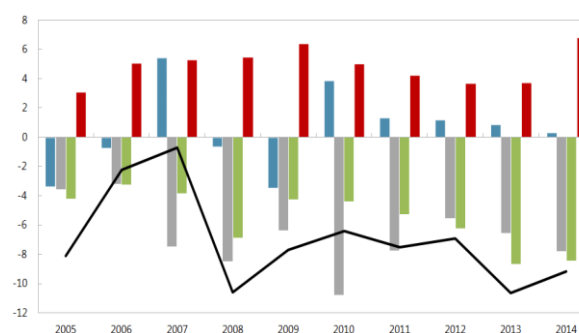
Sources: Congolese authorities and IMF staff estimates.

Appendix III. External Sustainability Assessment

1. **Developments in the balance of payments position remain consistent with external stability.** The real effective exchange rate is broadly in line with macroeconomic fundamentals. Nevertheless, the DRC's competitiveness suffers from institutional constraints, lack of basic infrastructure, and a weak business environment. Against this backdrop, international reserves could be strengthened to protect the economy against potential shocks.¹

2. **Spurred by increasing mineral exports, the current account has been improving in recent years** (Table 1). In 2014 the current account deficit reached 9.2 percent of GDP and is projected at 7.6 percent of the GDP in 2015 (baseline scenario). The balance of goods has been continuously positive since 2009, but the DRC remains a net importer of services (see Figure I.1). Moreover, the repatriation of profits by foreign companies operating in the natural resources sector lead to a negative primary income balance.

Figure III.1. Democratic Republic of the Congo: Components of the Current Account, 2005–14
(Percent of GDP)



Sources: Congolese authorities and IMF staff calculations.

3. **The two approaches of the Consultative Group on Exchange Rate (CGER) methodology used to evaluate the REER indicate no major misalignment.** Both the macroeconomic balance and the external stability balance approaches calculate the exchange rate misalignment as a percent change in the real exchange rate that is needed to close the gap between a current account norm and the underlying current account i.e., the current account balance projected over the medium term at prevailing exchange rates, calculated on a set of fundamental variables, including the fiscal balance, population growth, net foreign assets, GDP values, and FDI. In particular,

- **Macroeconomic balance approach:** the current account norm is estimated through the projected values of medium-term fundamentals. This norm is estimated to lie between -5.8 and -8.2 percent of GDP based on coefficients estimated by Vitek (2013).² Assuming an elasticity of the trade balance with respect to the real exchange rate of 0.7,³ the difference between the underlying current account and the current account norm indicates a REER negligible misalignment

¹ The real effective exchange rate assessment should be interpreted cautiously due to data limitation and the high dollarization of the economy but the REER seems to be broadly in line with the fundamentals.

² Francis Vitek, 2013, "Exchange Rate Assessment Tools for Advanced, Emerging and Developing Economies"

³ Tokarick, Stephen, 2010, "A Method for Calculating Export Supply and Import Demand Elasticities", IMF Working paper WP/10/180.

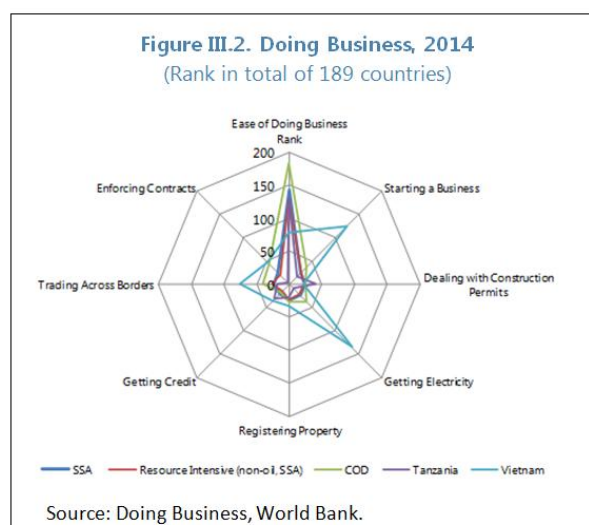
between 0.6 and 0 percent. A use of the CGER elasticity of the current account would imply a REER misalignment between 1.4 and 0.1 percent of GDP.

- **External sustainability approach:** the current account norm is defined as the balance that would stabilize net foreign assets (NFA). The exchange rate misalignment is then equal to the adjustment necessary to bring the underlying current account to a level stabilizing the NFA. The current account balance necessary to stabilize the DRC's NFA-to-GDP ratio at its 2020 level is estimated to be -6.8 percent compared with an underlying current account of -7.8 percent, implying an overvaluation of 0.2 percent.

4. **The DRC's competitiveness is impaired by structural bottlenecks and a challenging business climate.** The 2015 Doing Business report ranks DRC 184th (out of 189 countries). Electricity shortages are among the key concerns among the business community. The 2015 Doing Business report ranks DRC 184th (out of 189 countries), worse than most peer countries in the region, stressing the administrative complexities, low access to finance, and inefficient tax policy. In this regard, the lack of progress on credit information and a weak judiciary system limit the capacity of the financial sector to develop and contribute to economic growth. The 2013 Human Development Index of the United Nations Development Program ranked DRC 186th out of 187 countries and territories listed.

5. **DRC holding of international reserves could become insufficient to cushion the impact of external shocks.**

Given the fact that total U.S. dollar deposits in the banking system are currently larger than gross reserves and the volatility of commodity prices, DRC should hold gross reserves equivalent to at least 3.1 months of imports for a cost of holding reserves of 5 percent,⁴ against an actual 1.8 months (see Figure I.8 and I.9).⁵



⁴ The reserve coverage should represent up to 10.2 months of next year imports for a cost of holding reserves of 2 percent.

⁵ The methodology balances the risk-reducing effects of reserves against their carrying costs. It estimates both the likelihood and the scale of a drop in domestic demand in a country and compares the benefits of holding additional reserves (which helps containing demand declines) with the costs of holding additional reserves (revenues foregone by investing in liquid and thus lower yielding foreign assets).

DEMOCRATIC REPUBLIC OF THE CONGO

Figure III.3. Democratic Republic of the Congo: Reserve Coverage, 2010–20

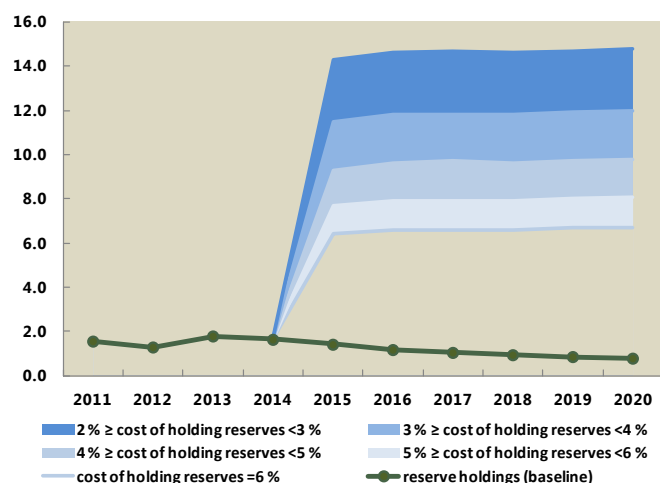
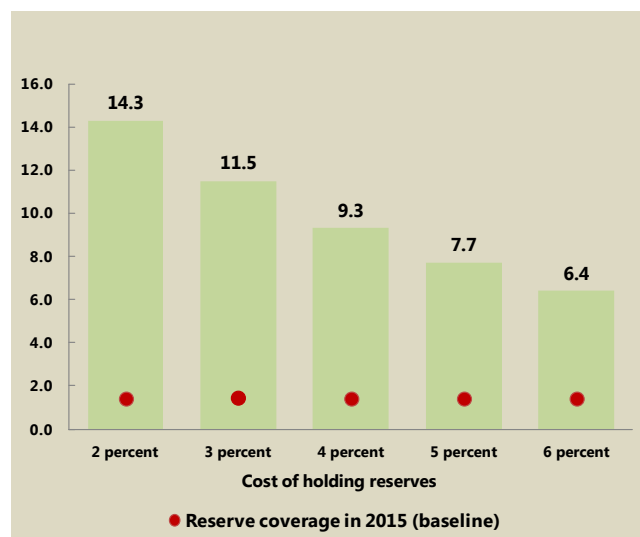


Figure III.4. Democratic Republic of the Congo: Optimal Level of Reserves (2014)

(Months of next year imports)





INTERNATIONAL MONETARY FUND



Appendix IV. Draft Press Release

Press Release No. 15/xx
FOR IMMEDIATE RELEASE
[August xx, 2015]

International Monetary Fund
700 19th Street, N.W.
Washington, D. C. 20431, USA

IMF Executive Board Concludes 2015 Article IV Consultation with the Democratic Republic of the Congo

On August, 28, 2015, the Executive Board of the International Monetary Fund (IMF) concluded the Article IV consultation¹ with the Democratic Republic of the Congo (DRC).

DRC's macroeconomic performance remained strong despite a difficult external and domestic environment. Real gross domestic product (GDP) growth in 2014 is estimated at 9.2 percent, driven by copper production and the service sector. Year-on-year inflation stabilized at 1.0 percent at end-December 2014 as the fiscal stance remained prudent with the fiscal position recording a small surplus in the context of the fiscal anchor adopted in 2009. The external current account deficit narrowed to 9.2 percent of GDP in 2014 from 10.6 percent of GDP in 2013, reflecting an improvement in the terms of trade and strong export mining products. Sustained inflows of foreign direct investments contributed to an overall balance of payments surplus, despite decreasing official transfers. Nonetheless, international reserves fell in U.S. dollar terms, stabilizing at 6.2 weeks of imports at end-2014. Although the real exchange rate declined somewhat, competitiveness is hampered by structural bottlenecks, while a challenging business climate, and electricity shortages weigh in on the efforts to diversify the economy and promote inclusive growth. Furthermore, the financial position of the Central Bank of Congo (BCC) remained precarious, undermining the conduct of monetary policy.

The medium-term outlook is favorable but subject to downside risks. Real GDP growth is projected to remain strong at 9.2 percent in 2015—among the highest rates in the world—and average 8.4 percent in 2016–17 before stabilizing at around 6 percent in 2018–20. Inflation is targeted at 2.5 percent, as fiscal policy remains prudent. Despite a sustained projected increase in exports the current account deficit would increase to double digits by 2018 due to rising dividend outflows and imports. Nonetheless, the overall balance is expected to remain in surplus, but international reserves would decline in the absence of interventions by the Central Bank of Congo. Risks to the outlook are a prolonged decline in commodity prices, a deterioration of the

¹ Under Article IV of the IMF's Articles of Agreement, the IMF holds bilateral discussions with members, usually every year. A staff team visits the country, collects economic and financial information, and discusses with officials the country's economic developments and policies. On return to headquarters, the staff prepares a report, which forms the basis for discussion by the Executive Board.

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political situation, and delays in implementing key revenue-raising measures. Moreover, a worsening of the energy situation would constrain the projected sustained growth in mining production.

The authorities are urged to move swiftly to meet these challenges in order to preserve the hard-won gains and address rising inequality. In particular, they need to: (i) step up domestic revenue mobilization, (ii) accumulate more international reserves; (iii) remove bottlenecks to private sector activity, and (iv) strengthen governance and enhance transparency in the management of natural resources.

Executive Board Assessment²

< >

² At the conclusion of the discussion, the Managing Director, as Chairman of the Board, summarizes the views of Executive Directors, and this summary is transmitted to the country's authorities. An explanation of any qualifiers used in summings up can be found here: <http://www.imf.org/external/np/sec/misc/qualifiers.htm>.

Democratic Republic of the Congo: Selected Economic and Financial Indicators, 2012–20

	2012	2013	2014	2015	2016	2017	2018	2019	2020
	Act.	Est.				Proj.			
(Annual percentage change; unless otherwise indicated)									
GDP and prices									
Real GDP	7.1	8.5	9.2	9.2	8.5	8.3	7.5	6.7	5.4
GDP deflator	4.7	9.3	1.3	2.2	1.4	2.3	2.5	2.6	2.6
Consumer prices, period average	2.1	0.8	1.0	1.0	1.7	2.5	2.5	2.5	2.5
Consumer prices, end-of-period	2.7	1.0	1.2	0.9	2.5	2.5	2.5	2.5	2.5
External sector									
Exports, f.o.b. (U.S. dollars)	-9.5	14.1	17.3	4.0	13.2	8.1	11.4	10.4	7.0
Imports, f.o.b. (U.S. dollars)	-10.0	15.2	19.5	-3.0	6.3	14.5	12.8	11.0	11.2
Export volume	-3.4	22.8	10.1	10.6	12.9	7.2	10.6	9.5	6.2
Import volume	-10.8	10.7	26.9	11.5	5.4	11.6	10.8	9.4	9.5
Terms of trade	-5.6	-6.3	9.2	5.4	-0.8	-0.3	0.1	0.3	0.5
(Annual change; percent of beginning-of-period broad money)									
Money and credit									
Broad money	21.1	18.1	14.2	9.3	...	...	...	...	...
Net foreign assets	22.9	2.3	2.7	2.8	...	...	...	...	...
Net domestic assets	-1.9	15.7	11.3	6.6	...	...	...	...	...
Domestic credit	-4.6	14.5	14.9	2.1	...	...	...	...	...
Of which:									
Net credit to government (annual percent change)	-18.9	3.6	2.6	-7.3	...	...	...	...	...
Credit to the private sector (annual percent change)	25.6	26.5	22.7	20.1	...	...	...	...	...
(Percent of GDP; unless otherwise indicated)									
Central government finance									
Revenue and Grants	17.2	15.3	14.6	16.1	16.8	16.6	16.8	17.1	17.4
Revenue	14.4	12.9	13.3	13.7	14.1	14.5	14.8	15.1	15.4
Grants	2.9	2.4	1.3	2.4	2.7	2.1	1.9	1.9	1.9
Expenditure	15.4	13.4	14.4	15.3	16.6	16.4	16.5	17.1	17.5
Overall balance (including grants)	1.5	1.6	0.1	0.5	0.0	-0.1	0.1	-0.2	-0.3
Investment and saving									
Gross national saving	5.8	4.7	6.6	8.0	7.0	6.8	7.4	8.4	8.9
Government	-2.5	-3.7	-2.2	-1.2	-1.8	-1.5	-1.2	-1.4	-1.3
Nongovernment ¹	8.3	8.4	8.8	9.2	8.7	8.3	8.6	9.8	10.2
Investment	12.7	15.3	15.7	15.5	14.7	16.2	17.6	18.6	20.0
Government	4.6	6.2	6.4	6.4	5.7	6.5	6.6	6.8	7.0
Nongovernment	8.1	9.1	9.3	9.1	8.9	9.7	11.0	11.7	13.0
Balance of payments									
Exports of goods and services	35.6	32.3	34.3	32.8	34.0	33.1	33.9	34.7	34.6
Imports of goods and services	40.0	38.0	41.8	37.3	36.4	37.4	38.3	38.8	39.8
Current account balance, incl. transfers	-6.9	-10.6	-9.2	-7.5	-7.7	-9.4	-10.1	-10.1	-11.2
Current account balance, excl. transfers	-9.8	-14.0	-13.8	-11.3	-9.5	-11.1	-11.6	-11.6	-12.6
Overall balance	2.2	0.2	0.1	0.3	0.5	0.6	0.7	0.5	0.4
Gross official reserves (weeks of non-aid-related imports of goods and services)	7.1	6.2	6.2	5.5	4.6	3.9	3.5	3.1	3.2
(Percent of GDP)									
External public debt									
Total stock, including IMF	16.6	13.6	11.5	13.5	14.4	16.5	18.8	20.2	21.7
Present value (PV) of debt	19.4	13.5	15.2	11.0	12.5	13.9	15.4	16.0	16.7
PV of debt (percent of exports of goods and services)	54.3	41.9	44.2	33.6	36.9	42.1	45.6	46.3	48.5
Exchange rate, (CDF per U.S. dollar)									
Period average	919	920	925	...	...	...	...	...	...
End-of-period	915	926	925	...	...	...	...	...	...
Memorandum item:									
Scheduled debt service	181.7	194.6	89.0	223.7	245.4	354.9	317.2	293.8	286.6
Percent of exports of goods and services	1.8	1.8	1.5	1.7	1.7	2.2	1.8	1.5	1.4
Percent of government revenue	4.6	4.6	4.0	4.1	4.0	5.1	4.1	3.4	3.1
Gross official reserves (end-of-period, millions of U.S. dollars)	1,645	1,695	1,577	1,534	1,482	1,418	1,394	1,344	1,305
Nominal GDP (CDF billions)	25,344	30,051	33,224	37,056	40,774	45,210	49,818	54,493	58,931
Nominal GDP (U.S.\$ million)	27,566	32,676	35,918	39,982	43,665	47,937	52,300	56,642	60,648

Sources: Congolese authorities; and IMF staff estimates and projections.

¹ The projections for 2011 and beyond account for mining companies profit outflows.

² Projections are based on calculations under the 2010 HIPC Debt Sustainability Analysis (EBS/10/121, 06/16/2010). Includes assistance beyond the terms of the enhanced HIPC Initiative granted by some Paris Club creditors. Exports are a trailing three-year moving average.